



ONLYIAS
Nothing Else

IDMP TEST SERIES - 2022

High Yielding PRELIMS TEST SERIES

Test – 27

Economics

Topics covered:

- Indian financial market and insurance in India
- Banking in India
- Security market in India
- External sector in India
- Current affairs October 2021



Scan the QR code for Schedule

DEDICATED PRELIM PROGRAM(DPP)

UPSC-CSE PRELIMINARY TEST SERIES – 2021/2022

DO NOT OPEN THIS TEST BOOKLET UNTIL YOU ARE ASKED TO DO SO

TEST BOOKLET SERIES

Test Code:

DPP

**TEST BOOKLET
GENERAL STUDIES
TEST - 27**

E 27

Time Allowed: Two Hours

Maximum Marks : 200

INSTRUCTIONS

1. IMMEDIATELY AFTER THE COMMENCEMENT OF THE EXAMINATION, YOU SHOULD CHECK THAT THIS TEST BOOKLET DOES NOT HAVE ANY UNPRINTED OR TORN OR MISSING PAGES OR ITEMS, ETC.

2. ENCODE CLEARLY THE TEST BOOKLET SERIES CODE A, B, C OR D AS THE CASE MAY BE IN THE APPROPRIATE PLACE IN THE ANSWER SHEET.

3. You have to enter your Roll Number on the Test Booklet in the provided alongside this line. DO NOT write anything else on the Test Booklet.

4. This Test Booklet contains 100 questions. Each question is printed in English. Each item comprises four responses (answers). You will select the response which you want to mark on the Answer Sheet. In case you feel that there is more than one correct response, mark the response which you consider the best. In any case, choose ONLY ONE response for each item.

5. All items carry equal marks.

6. Penalty for wrong answers:

THERE WILL BE PENALTY FOR WRONG ANSWERS MARKED BYA CANDIDATE IN THE OBJECTIVE TYPE QUESTION PAPERS.

- I. There are four alternatives for the answer to every question. For each question for which a wrong answer has been given by the candidate, One-Third of the marks assigned to that question will be deducted as penalty.
- II. If a candidate gives more than one answer, it will be treated as a wrong answer even if one of the given answers happens to be correct and there will be same penalty as above to that question.
- III. If a question is left blank, i.e., no answer is given by the candidate, there will be no penalty for that question.

DO NOT OPEN THIS TEST BOOKLET UNTIL YOU ARE ASKED TO DO SO

TOPICS COVERD: Indian financial market and insurance in India, Banking in India, Security market in India, Security market in India, Current affairs October 2021



Q.1) Which of the given statements best describes the difference between the Repo Rate and the Marginal Standing Facility?

- a) Repo rate operations are carried out in primary market whereas the operations related to the Marginal standing facility are carried out in the secondary markets
- b) SLR securities (Statutory Liquidity Ratio) cannot be used for availing loans at the repo rate while they can be used for availing loans under the Marginal Standing Facility
- c) Repo rate loans are overnight loans while the loans under the Marginal standing facility are available for 14 days
- d) Repo rate facility can be increased above its limit under exceptional circumstances, marginal standing facility cannot be increased above its prescribed limit

Q.2) With reference to various reserve ratios of RBI, consider the following statements:

- 1. Cash Reserve Ratio is to be maintained on a daily basis whereas the Statutory Liquidity ratio is to be maintained on a fortnightly basis.
- 2. The Cash Reserve Ratio is to be maintained as per the Banking Regulation Act, 1949 whereas the Statutory Liquidity Ratio is to be maintained as per the Reserve Bank of India Act, 1934.
- 3. The Reserve Bank of India can decide CRR without any floor or ceiling rate as per the situational demands of the economy

Select the *incorrect* statements by using the codes given below:

- a) and 3 only
- b) 1 and 2 only
- c) only
- d) 1, 2 and 3

Q.3) In the context of Indian economy, which of the following events are likely to happen as a result of the surge in the Capital Inflows of the country?

- 1. Increase the levels of investment which will result in economic growth
- 2. Indian Rupee will depreciate

- 3. Increased competitiveness of exports
- 4. Rise in inflation

Select the correct answer using the codes given below:

- a) and 3 only
- b) 4 only
- c) 1 and 4 only
- d) 1, 2, 3 and 4

Q.4) The terms 'Dovish' and 'Hawkish' are often seen in news in the context of:

- a) To describe the monetary policy stances
- b) To denote stages of the spread of disease in a pandemic
- c) To describe the growth phases in the Stock market
- d) To denotes the phases of business cycle

Q.5) The Reserve Bank of India regulates the public sector banks (PSBs) in matters of

- 1. Revoking the Banking license
- 2. Merger of banks
- 3. Winding-up of banks

Select the correct answer using the codes given below:

- a) 1 only
- b) 2 and 3 only
- c) 2 only
- d) None of the above

Q.6) Consider the following financial institutions:

- 1. Non Banking Financial Institutions(NBFCs)
- 2. National Bank for Agriculture and Rural Development
- 3. Cooperative Banks
- 4. Export and Import Bank of India

Which of the given financial institutions come under full fledged regulation and supervision of RBI? Select the correct answer using the codes given below:

- a) 1, 2 and 3 only
- b) 1, 3 and 4 only
- c) 2, 3 and 4 only
- d) 1, 2 and 4 only



Q.7) With reference to the banking system in India, a Bank Run can be said to have occurred in which of the following circumstances?

- When a particular bank has made no profits for 12 consecutive months
- When a bank has gone bankrupt or has become an insolvent and cannot lend new loans anymore
- When the non performing assets of a bank constitute more than 50% of its loans
- When the depositors withdraw their money simultaneously fearing the bank's inability to return the money

Q.8) In context of the payments ecosystem in India, consider the following statements:

- Only payment systems authorized by the RBI can be operated in the country
- National Payments Corporation of India is a wholly owned subsidiary of RBI
- Only Banking entities are allowed as the payment systems operators in India

Select the incorrect statements using the codes given below:

- 1 only
- 2 and 3 only
- 1 and 3 only
- 1, 2 and 3

Q.9) In the context of banking in India, which of the following agricultural and allied activities can be granted loans under the scheme of Priority Sector Lending?

- Setting up Compressed Biogas Plant
- Installation of solar plants
- Agricultural Machinery
- Loans to Farmer Producing Organizations
- Food Processing

Select the correct answer using the codes given below:

- 1, 3 and 4 only
- 3, 4 and 5 only
- 1, 2, 3 and 4 only
- 1, 2, 3, 4 and 5

Q.10) The term 'On-Lending Model' is often seen in the news in the context of-

- Lending model to address the issue of Non Performing Assets in the Banking sector
- Lending model related to emerging payments system operators
- Lending model to improve the flow of credit to unserved and underserved sections
- Lending model recommended by the Basel III Accord

Q.11) In context of the Priority Sector Lending in India, consider the following statements:

- Priority sector guidelines give preferential rate of interest for priority sector loans
- As per recent RBI's norms, incremental priority sector credit will be given to the identified districts to address the regional disparities in the flow of credit on a district level
- The districts for incremental credit flow will be identified using the aspirational district criteria

Select the incorrect statements using the codes given below:

- 1 and 2 only
- 1 and 3 only
- 2 and 3 only
- None of the above

Q.12) Consider the following reports/surveys:

- Consumer Confidence Survey
- Inflation Expectation Survey
- Trend and Progress of banking in India
- Indian Economy Prospects
- Financial Stability Report

Which of the above given reports/ surveys are published by RBI as part of its policy research and data dissemination function? Select the correct answer using the codes given below:

- 1, 2, 3 only
- 2, 3, 4, 5 only
- 1, 3, 4, 5 only
- 1, 2, 3, 5 only



Q.13) In the context of the Indian economy, which of the following factors positively or negatively affect the money multiplier?

1. Cash reserve ratio
2. Statutory liquidity ratio
3. Cost-push Inflation
4. High Powered Money

Select the correct answer by using the codes given below:

- a) 1 and 2 only
- b) 1, 2 and 3 only
- c) 1, 2 and 4 only
- d) 1, 2, 3, 4 only

Q.14) Consider the following statements with reference to the MUDRA Bank:

1. MUDRA bank is a fully owned subsidiary of the Reserve Bank of India
2. It is formed with an objective of development and financing micro unit enterprises
3. MUDRA bank cannot refinance enterprises in the informal sector.

Select the incorrect statements using the codes given below:

- a) 1 and 2 only
- b) 3 only
- c) 2 and 3 only
- d) 1, 2, 3 only

Q.15) In context of Indian banking, consider the following:

1. Marginal Cost of Funds based Lending Rate (MCLR)
2. Repo rate
3. Benchmark Prime Lending Rate
4. Three-Month Treasury Bill Yield

Which of the given rates are external benchmark rates? Select the correct answer using the codes given below:

- a) 1 and 2 only
- b) 2, 3 and 4 only
- c) 2 and 4 only
- d) 4 only

Q.16) Consider the following statements with reference to the external benchmarking rate system that has been recently introduced by the RBI:

1. RBI has made it mandatory for banks to link all new floating rate personal or retail loans and deposit to an external benchmark effective
2. Under the new policy, the spread(given over the repo rate) of any loan category cannot exceed above 4 percent

Select the correct statements using the codes given below:

- a) 1 only
- b) 2 only
- c) Both 1 and 2
- d) Neither 1 nor 2

Q.17) An increase in Capital to Risk Weighted Asset Ratio of a bank indicates which of the following?

1. Lower safety of bank deposits
2. Bank's freedom to lend is reduced

Select the correct answer using the code given below:

- a) 1 only
- b) 2 only
- c) Both 1 and 2
- d) Neither 1 nor 2

Q.18) The Reserve Bank has specified certain regulatory trigger points, as a part of prompt corrective action (PCA) Framework. Which of the following are included as parameters for introducing a Prompt Corrective Action Framework in a particular bank?

1. Capital to risk weighted assets ratio
2. Debt Service Obligation
3. Net non-performing assets
4. Return on Assets

Select the correct answer using the codes given below:

- a) 1, 2, 3 only
- b) 2, 3, 4 only
- c) 1, 2, 4 only
- d) 1, 3, 4 only

Q.19) In context of the Prompt Corrective Action Framework of RBI, consider the following statements:



1. The Prompt Corrective Action Framework is applicable only to commercial banks
2. Under PCA, RBI can stop banks from lending and there can be a cap on lending to specific sectors/entities
3. PCA can constrain normal operations of the banks for the general public like lending and depositing

Which of the statements given above is/are correct?

- a) 1 only
- b) 1 and 2 only
- c) 2 only
- d) 2 and 3 only

Q.20) In the context of Foreign investment, consider the following financial instruments:

1. External Commercial Borrowings
2. Masala Bonds
3. American Depository Receipts
4. Indian Depository Receipts

Which of the following financial instrument(s) can be used for raising money from abroad?

- a) 1 only
- b) 1 and 2 only
- c) 1, 2 and 3 only
- d) 1, 2 and 4 only

Q.21) Consider the following statements with respect to Foreign Direct Investment in India:

1. A foreign investor can hold investments in a certain company, in both FPI(Foreign Portfolio investment route) or FDI(Foreign Direct Investment route) at the same time.
2. An Indian company receiving FDI does not require any prior approval of RBI at any stage

Which of the statements given above is/are incorrect?

- a) 1 only
- b) 2 only
- c) Both 1 and 2
- d) Neither 1 nor 2

Q.22) In context of the currency swap agreements, consider the following statements:

1. Currency swap agreements carry zero exchange rate or other market risks

2. Currency swap agreements can also be used as an out of market transaction to stop the depreciation of Rupee

Which of the statements given above is/are incorrect?

- a) 1 only
- b) 2 only
- c) Both 1 and 2
- d) Neither 1 nor 2

Q.23) With reference to the Indian economy, consider the following:

1. Long Term Repo Auctions
2. KYC Norms
3. Currency Swap
4. Capital Adequacy Norms

Which of the above can be considered as the steps taken to achieve effective Monetary Policy Transmission by the Reserve Bank of India? Select the correct answer using the codes given below:

- a) 1 only
- b) 1 and 4 only
- c) 1 and 3 only
- d) 1, 2 and 4 only

Q.24) With reference to strategic disinvestment in India, consider the following statements:

1. Any proposal for strategic disinvestment is approved by the Department of Investment and Public Asset Management (DIPAM) under the Ministry of Finance
2. Strategic disinvestment in India began under the Prime Ministership of P.V. Narasimha Rao
3. Transfer of management control from one Public Sector Enterprise to another Public sector enterprise can also be considered as strategic disinvestment

Which of the following statement(s) are correct? Select the answer using the codes given below:

- a) 1 and 2 only
- b) 2 only
- c) 1 and 3 only
- d) 3 only



Q.25) When the Reserve Bank of India increases the Cash Reserve Ratio by 50 basis points, which of the following is likely to happen?

- a) Money in circulation falls drastically
- b) The non performing assets of the banks will reduce
- c) Scheduled Commercial Banks may cut their lending rates
- d) It will reduce the amount of money available for banks to lend

Q.26) Which of the following terms indicates a mechanism used by the Reserve Bank of India for absorbing excess liquidity from the market?

- a) Marginal Standing Facility
- b) Open Market Operations
- c) Operation Twist
- d) Market Stabilization Scheme

Q.27) The basic aim of Government Securities Acquisition Programme (G-SAP) is that

- a) To make the government securities market stable
- b) To bridge the fiscal and monetary deficit
- c) To increase the availability of money to boost the business sector
- d) To reduce the general interest rate in the economy

Q.28) Which of the following grants/grant direct credit assistance to Micro, Small and Medium Enterprises (MSME)?

- 1. National Bank for Agriculture and Rural Development (NABARD)
- 2. Small Industries Development Bank of India (SIDBI)
- 3. MUDRA Bank

Select the correct answer using the codes given below:

- a) 1 and 2 only
- b) 2 and 3 only
- c) 3 only
- d) None of the above

Q.29) Consider the following financial institutions:

- 1. Insurance Companies
- 2. Chit Companies
- 3. Stock Broking Companies
- 4. Micro Financial Institutions

Which of the given financial institution(s) can be considered as Non-Banking Financial Companies?

- a) 1 and 4 only
- b) 1, 3 and 4 only
- c) 4 only
- d) 1, 2, 3 and 4

Q.30) Consider the following statements with respect to the Payment Banks:

- 1. Payment banks can issue ATM/debit cards and credit cards
- 2. Payments bank cannot undertake lending activities
- 3. Payment banks can accept demand and time deposits and provide remittance services

Which of the given statement(s) is/are incorrect?

- a) 1 only
- b) 2 only
- c) 1 and 3 only
- d) None of the above

Q.31) When RBI increases the sale of government securities through open market operations, which of the following is most likely to happen?

- a) Central bank is adopting accommodative monetary policy stance
- b) Market interest rates are likely to fall
- c) Central is following a contractionary monetary policy
- d) Rise in Inflation in the economy

Q.32) With reference to India, consider the following:

- 1. Prompt Corrective Action
- 2. Creation of Payments Infrastructure Development Fund (PIDF)
- 3. Lead Banks Scheme
- 4. Banking Regulation (Amendment) Act, 2020

Which of the above can be considered as step(s) taken to reduce the Non Performing Assets in the banking sector of India?

- a) 1 only
- b) 1 and 2 only
- c) 3 and 4 only
- d) 1 and 4 only



Q.33) Which of the following event(s) is/are most likely to happen as a consequence(s) of a liquidity trap in the economy?

1. People keep their funds in fixed and demand deposits instead of investing in bonds and other financial instruments
2. The Central banks will start to increase the repo rates to make the money market more liquid

Select the correct answer using the codes given below:

- a) 1 only
- b) 2 only
- c) Both 1 and 2
- d) Neither 1 nor 2

Q.34) Consider the following statements with respect to the Small finance banks:

1. The small finance banks are required to extend more than half of its total credit to the sectors eligible for classification as priority sector lending (PSL)
2. At least 50% of its loan portfolio should constitute loans and advances of up to Rs. 25 lakhs
3. Unlike Payments Banks, Small Finance banks can accept all types of deposits

Select the incorrect statements by using the codes given below:

- a) 1 only
- b) 2 and 3 only
- c) 3 only
- d) None of the above

Q.35) If everyone started withdrawing their time deposits with banks due to low returns, the immediate effect on aggregate money supply in the economy will be

- a) Money supply and monetary base will reduce
- b) Money supply will increase
- c) Monetary base will expand
- d) Money supply will remain unchanged

Q.36) In context of Indian banking, consider the following:

1. Cash Certificates
2. Demand Drafts
3. Cash reserves

4. Money deposited in savings account
5. Money deposited in current account

Which of the following is/are considered as the Net Demand and Time Liabilities (NDTL) of the banks?

- a) 1, 2, 3 and 4 only
- b) 1, 2, 4 and 5 only
- c) 1, 2 and 4 only
- d) 1, 2, 3, 4 and 5

Q.37) Consider the following statements:

1. The concept of Helicopter money is used to boost demand in the economy.
2. Negative interest rates act as liability for the depositor and assets for the borrower.

Which of the statements given above is/are correct?

- a) 1 only
- b) 2 only
- c) Both 1 and 2
- d) Neither 1 nor 2

Q.38) Which of the below mentioned steps are likely to cause the appreciation of rupee against dollar?

1. Increase limit of FPI in Indian Bond market.
2. Currency Swap Agreements with other countries.
3. Increase threshold for External Commercial borrowings.
4. Dollar Swap between RBI and the Indian banks.
5. Dear Money Policy of RBI.

Select the correct answer using the codes given below:

- a) 1, 2, 3, and 4 only
- b) 1, 3, 4, and 5 only
- c) 2, 3, 4, and 5 only
- d) 1, 2, 3, 4, and 5

Q.39) Consider the following multilateral organizations:

1. African Development Bank
2. Asian Development Bank
3. European Bank for Reconstruction and Development
4. International Centre for the Settlement of Investment Disputes.



Which of the above-mentioned organizations include India as its member?

- a) 1, 2, and 4 only
- b) 2, 3, and 4 only
- c) 1, 2, and 3 only
- d) 2 and 3 only

Q.40) Consider the following statements:

- 1. The loan share is highest for the largest shareholder in case of Asian Infrastructure Investment Bank.
- 2. All the Bretton woods organizations provide for unequal voting power depending on the amount of shareholding.

Which of the statements given above is/are incorrect?

- a) 1 only
- b) 2 only
- c) Both 1 and 2
- d) Neither 1 nor 2

Q.41) Consider the following statements:

- 1. Countervailing duties on imported goods have been abolished in India.
- 2. Inverted Duty structure relates to the exporter country while Anti-dumping duty relates to the importer.

Which of the statements given above is/are correct?

- a) 1 only
- b) 2 only
- c) Both 1 and 2
- d) Neither 1 nor 2

Q.42) Consider the following statements regarding World Trade Organization (WTO):

- 1. Agreement on Agriculture is the only agreement of WTO regarding subsidies.
- 2. General Agreement on Tariffs and Trade (GATT) covers both the goods and services.
- 3. India's tax relief to Special Economic Zones (SEZs) is regarded as a kind of trade barrier in WTO.

Which of the statements given above is/are correct?

- a) 2 and 3 only
- b) 3 only
- c) 1 and 3 only
- d) 1, 2, and 3

Q.43) Consider the following statements:

- 1. WTO's peace clause is an exception to the agreement on Subsidies and Countervailing Measures.
- 2. WTO's Agreement on Agriculture, fixes the upper limit of subsidies for developed countries, while the developing countries are not subjected to any upper limit.
- 3. The extension of the Peace Clause on subsidies was the outcome of the Nairobi package, 2015.

Which of the statements given above is/are incorrect?

- a) 1 and 2 only
- b) 2 and 3 only
- c) 1 and 3 only
- d) 1, 2, and 3

Q.44) Which of the following best describes the Special Safeguard Mechanism often mentioned regarding WTO?

- a) It permits the imposition of taxes on imports by a member country in case of breach of the upper subsidy limit by another member.
- b) It includes within its purview the levy of countervailing and the anti-dumping duty to protect domestic manufacturers.
- c) It permits the imposition of taxes/tariffs by the third world countries to protect their farmers from the export surges by the developed countries.
- d) It is a set of reforms that extends the Peace Clause on Agreement on Agriculture to an indefinite period.

Q.45) Which of the situations given below are likely to increase the External Debt of the country?

- 1. Increase deposits in the Foreign Currency Non-Residents Accounts (FCNR).
- 2. Tightening the thresholds on the External Commercial Borrowings.
- 3. Increase in the share of SDR receipts.
- 4. Appreciation of rupee with respect to dollars.
- 5. Decreasing subsidies on exports.

Select the correct answer using the codes given below:

- a) 1, 2, and 3 only
- b) 1, 3, and 5 only
- c) 1, 3, and 4 only



d) 3, 4, and 5 only

Q.46) In relation to Regional Comprehensive Economic Partnership (RCEP), consider the following statements:

1. RCEP is a proposed Free Trade Agreement where member countries do not charge any tariff on the trade against each other.
2. More than half of India's trade deficit among the RCEP nations is with China.

Which of the statements given above is/are correct?

- a) 1 only
- b) 2 only
- c) Both 1 and 2
- d) Neither 1 nor 2

Q.52) Arrange the following events in the increasing order of their occurrence:

1. Formation of the United Nations.
2. Bretton Woods Conference.
3. India's Independence.
4. Formation of General Agreement on Trade and Tariffs (GATT)

Select the correct answer using codes given below:

- a) 1-2-3-4
- b) 2-1-3-4
- c) 2-3-1-4
- d) 1-2-3-4

Q.53) Which of the following is not a secondary market instrument?

- a) Debentures
- b) Preference shares.
- c) Qualified institutional placement
- d) Equity

Q.54) Consider the following statements with reference to Security and Exchange Board (SEBI)

1. The Security and Exchange Board is a non statutory body .
2. SEBI registers merchant banks and brokers
3. It comes under the jurisdiction of the ministry of finance.

Which of the statements given above is/are correct?

- a) 1 and 2 only

b) 2 only

- c) 2 and 3 only
- d) 1, 2 and 3

Q.55) Consider the following statements:

1. Gold exchange traded funds are better for tax saving as compared to physical gold.
2. Increase in investment in gold ETF will increase the current account deficit.

Which of the statements given above is/are correct?

- a) Only 1
- b) Only 2
- c) Both 1 and 2
- d) Neither 1 nor 2

Q.56) What is the purpose of Credit default swap ?

- a) To manage the Currency risk
- b) To prevent loans to convert into NPAs
- c) Reducing volatility of equity in capital market
- d) Transfer risk from one investor to another

Q.57) In the context of Participatory note consider the following statements:

1. Any entity investing in participatory notes is not required to register with SEBI , whereas all FIIs have to compulsorily get registered.
2. The investor in Participatory notes owns the underlying Indian security.
3. The Participatory notes holder also does not enjoy any voting rights in relation to security/shares.

Which of the statements given above is/are correct?

- a) 1 only
- b) 1 and 2 only
- c) 1 and 3 only
- d) 3 only

Q.58) In the context of Indian economy consider the following statements:

1. Scrip Share is a share given to new shareholders without charge.
2. Sweat Share is a share given to the employees of the company without any charge.



3. Futures are derivative financial contracts in which parties transact an asset at predetermined future date and price.

Which of the statements given above is/are not correct?

- a) 1 only
- b) 2 and 3 only
- c) 3 only
- d) 1,2 and 3

Q.59) Consider the following statements with respect to Exchange Traded Funds:

- 1) Bharat Bond ETF is India's first corporate bond ETF to create an additional source of funding for CPSEs.
- 2) Both anchor and non-anchor investors can invest in Bharat 22 ETF.

Which of the statements given above is/are correct?

- a) Only 1
- b) Only 2
- c) Both 1 and 2
- d) Neither 1 nor 2

Q.60) With reference to the functions of The Securities and Exchange Board of India (SEBI), Consider the following statements:

- 1. To Ensure fair practices by companies and prohibiting fraudulent and unfair trade practices in the securities market
- 2. Investor protection by educating and training the investors.
- 3. Improving the earnings of shareholders
- 4. Promoting efficient services by brokers by regulating the working of market intermediaries.

Which of the following statements is/are NOT the functions of SEBI?

- a) 2 and 3 only
- b) 3 only
- c) 2 and 4 only
- d) 1 and 3 only

Q.61) Consider the following statements regarding the proposed Social Stock Exchange (SSE), frequently seen in news:

- 1. A TaskForce under Ishaat Hussain has been set up to

recommend the various modalities related to the working of Social Stock Exchanges (SSE).

2. The Social Sector enterprises can list Zero Coupon Zero Principal Bond in SSE.

3. SSE is to be jointly regulated by the Home Ministry and Ministry of Social Justice and Empowerment.

4. Participation in For Profit Enterprises (FPE) will be prohibited.

Which of the statements given above is/are correct?

- a) 1,2 and 4 only
- b) 1 and 2 only
- c) 2 and 3 only
- d) 1, 3 and 4 only

Q.62) Consider the following statements regarding Masala Bonds :

1. They are the rupee-denominated bonds and are a source of debt financing for the public and private sector.

2. They are issued by the International Finance Corporation, which is an arm of the International Monetary Fund.

3. These bonds can only be issued to a resident of such a country which is a member of the Financial Action Task Force (FATF).

Which of the statements given above is/are correct?

- a) 1 and 2 only
- b) 1 only
- c) 1 and 3 only
- d) 1,2 and 3.

Q.63) Consider the following statements regarding International Securities Identification Number (ISIN):

1. ISIN is a unique 12-digit alphanumeric code that uniquely identifies a specific security like stocks and bonds.

2. RBI issues ISIN for all securities in India.

3. ISIN facilitates digital transactions through a DEMAT account.

Which of the statements given above is/are correct?

- a) 1 and 2 only
- b) 2 and 3 only
- c) 1 and 3 only
- d) All of the above



Q.64) With reference to Financial Stability and Development Council (FSDC), Consider the following statements:

1. The Financial Stability and Development Council is a statutory body created by an act of Parliament.
2. It is headed by the Governor of the RBI.
3. It aims to monitor macro-prudential supervision of the economy.

Which of the statements given above is/are correct?

- a) 1 and 3 only
- b) 3 only
- c) 1 and 2 only
- d) 1 only.

Q.65) Consider the following statements regarding the insurance cover provided to depositors by Deposit Insurance and Credit Guarantee Corporation (DICGC).

1. All commercial banks and urban cooperative banks have to register with DICGC for providing insurance to depositors.
2. RBI incurs the insurance premium burden.
3. Government incurs the insurance premium burden.

Which of the statements given above is/are incorrect?

- a) 1 only
- b) 2 and 3 only
- c) 3 only
- d) 1 and 3 only

Q.66) NBFCs raise their resources from which of the following ?

1. Loans from Banks.
2. By issuance of bonds in the financial markets.
3. Through External Commercial Borrowing (ECB).
4. Mutual Funds.

Select the correct answer using the code given below:

- a) 1 only
- b) 1 and 2 only
- c) 1 and 3 only
- d) 1, 2, 3 and 4

Q.67) Consider the following statements:

1. Insurance Regulatory Development Authority (IRDA) is a statutory autonomous body set up after the recommendations of Malhotra committee.

2.The Life Insurance Corporation (LIC) mandated its policyholders to update their aadhar and prove citizenship to participate in the proposed initial public offering (IPO).

3. National Insurance company Limited was nationalized in the year of 1972 and made a subsidiary of General Insurance Corporation of India.

Which of the following statements given above are correct?

- a) 1 and 2 only
- b) 2 only
- c) 1 and 3 only
- d) 1, 2 and 3

Q.68) With reference to Commercial paper, consider the following statements:

1. Commercial paper is a money market instrument issued in the form of a promissory note.
2. Commercial paper can be issued only by the multilateral corporations.

Which of the statements given above is/are correct?

- a) 1 only
- b) 2 only
- c) Both 1 and 2
- d) Neither 1 nor 2

Q.69) Which of the following sectors are eligible for the availability of loans under the priority sector lending programme ?

1. Agriculture
2. Social infrastructure
3. Renewable energy
4. Micro, Small & medium enterprises.

Select the correct answer using the codes given below.

- a) 1, 2 and 3 only
- b) 2, 3 and 4 only
- c) 1, 3 and 4 only
- d) 1, 2, 3 and 4

Q.70) Which of the following statements is/are correct regarding Derivatives?

1. Derivatives in India are regulated both by the Reserve Bank of India and the NABARD.



2. Derivatives are securities that derive their value from an underlying asset or benchmark.

Select the correct answer using codes given below:

- a) 1 only
- b) 2 only
- c) Both 1 and 2
- d) Neither 1 nor 2

Q.71) Consider the following statements about the Geospatial Energy Map of India :

- 1. The map attempts to identify and locate primary and secondary sources of energy to provide a comprehensive view of energy production
- 2. It was developed by the Department of Science and technology in coordination with ISRO.
- 3. Transportation/transmission networks of energy can also be located using the map to provide a comprehensive view of distribution in a country.

Which of the statements given above is/ are correct?

- a) 1 and 2 only
- b) 2 and 3 only
- c) 1 and 3 only
- d) 1, 2 and 3

Q.72) Which one of the following is the best description of S-400 Triumf that was in the news recently?

- a) Amphibious Warfare ship.
- b) Nuclear-powered aircraft carrier.
- c) Nuclear-powered submarines.
- d) Surface to air missile system.

Q.73) Recently scientists discovered molecular sensors in the human body. What is the significance of this discovery?

- a) Helpful in the elimination of communicable diseases.
- b) It will be helpful in the treatment of chronic disease.
- c) Will create healthy social and human capital.
- d) It will address the threat of Zika virus disease.

Q.74) Consider the following statements:

- 1. Indo-Pacific Regional Dialogue (IPRD) is the apex international annual conference of the Indian Airforce.
- 2. The International Energy Agency (IEA) is an autonomous intergovernmental organisation.
- 3. Renewable Energy Certificate is a market-based instrument to promote renewable energy.
- 4. Jal Jeevan Mission is under the Ministry of Drinking Water and Sanitation.

Which of the statements given above is/are incorrect?

- a) 2 and 3 only
- b) 1 and 4 only
- c) 1, 2 and 3 only
- d) 1, 2, 3 and 4

Q.75) In which one of the following groups are all the four countries members of the International Solar Alliance (ISA)?

- a) South Africa, Canada, India, Japan.
- b) China, Singapore, Morocco, Myanmar.
- c) Argentina, Germany, Italy, Thailand.
- d) United States, United Kingdom, United Arab Emirates, Suriname.

Q.76) Consider the following statements:

- 1. PM MITRA Parks is inspired by the 5F (Farm to Fibre to Factory to Fashion to Foreign) vision of the Hon'ble Prime Minister.
- 2. National Digital Livestock Mission is a digital platform developed jointly by the Department of Animal Husbandry and Dairying (DAHD) and NITI Aayog.
- 3. The National Dairy Development Board (NDDB) was created to boost income for the dairy industry.

Which of the statements given above is/are incorrect?

- a) 2 and 3 only
- b) 2 only
- c) 1 and 2 only
- d) 1, 2 and 3

Q.77) The Mangrove ecosystem across Sunderbans is threatened due to -



1. Frequent clearing of the shoreline for shrimp cultivation.
2. The building of dykes for the protection of coastal villages from storm surge.
3. Pisciculture farming is very popular for their livelihood.

Select the correct answer using codes given below.

- a) 1 and 2 only
- b) 2 and 3 only
- c) 1 and 3 only
- d) 1, 2 and 3

Q.78) Consider the following statements:

1. Red sanders found in the Temperate deciduous forest are endemic to eastern India.
2. Mumba Eels are a completely blind subterranean freshwater fish species.
3. Hydroponics is a type of Aquaculture and the cultivation of aquatic organisms in controlled aquatic environments.
4. Javan gibbons are found in groups only, usually in a pair of Two.

Which of the statements given above is/are correct?

- a) 2 and 3 only
- b) 1 and 3 only
- c) 2 and 4 only
- d) 1, 2, 3 and 4

Q.79) "It is about the size of a German shepherd, but looks more like a long-legged fox. It is a highly social animal, living in large clans without rigid dominance hierarchies and containing multiple breeding females. They are found in Western and Eastern Ghats, Central Indian landscape and North East India".

Which of the following species has been described in the above passage?

- a) Indian wolf
- b) Mishmi takin
- c) Nilgiri tahr
- d) Dhole

Q.80) With reference to the ABHYAS the high speed expendable aerial target (HEAT), consider the following statements:

1. The vehicle can be used as an aerial target for evaluation of various missile systems.
2. It is developed by Hindustan Aeronautics Limited (HAL).

Which of the statements given above is/are correct?

- a) 1 only
- b) 2 only
- c) Both 1 and 2
- d) Neither 1 nor 2

Q.81) With reference to India-China trade, consider the following statements:

1. India's biggest exports to China are iron ore, cotton and other raw material based commodities.
2. India imports mechanical and electrical machinery in large quantities, while imports of medical supplies have soared in the past two years.

Which of the statements given above is/are correct?

- a) 1 only
- b) 2 only
- c) Both 1 and 2
- d) Neither 1 nor 2

Q.82) Central Ground Water Authority (CGWA) has been constituted under:

- a) Hazardous waste Handling and management act, 1989
- b) Water cess act, 1977
- c) Water (prevention and Control Pollution) Act, 1974
- d) Environment (protection) Act, 1986

Q.83) Consider the following statements regarding the Sovereign Gold Bond scheme.

1. Bonds cannot be used as collateral for loans.
2. The minimum permissible investment limit will be 1 gram of gold for individuals.
3. Both residents and non-resident can invest in the sovereign Gold bond Scheme.

Which of the statements given above is/are not correct?



- a) 1 only
- b) 1 and 2 only
- c) 3 only
- d) 1 and 3 only

Q.84) Consider the following statements about Mahatma Gandhi National Fellowship programme:

1. The programme is conceived to create opportunities for young, dynamic individuals to enhance skill development at the grassroots.
2. Eligibility is that fellows should have three years of work experience after secondary schooling in the social sector.

Which of the statements given above is/are correct?

- a) 1 only
- b) 2 only
- c) Both 1 and 2
- d) Neither 1 nor 2

Q.85) Prani Mitra Award, often mentioned in news, is an initiative of:

- a) Central zoo Authority
- b) NITI Aayog
- c) Amnesty International
- d) None of the above

Q.86) Which one of the following seas is found between Eastern Europe and Western Asia?

- a) Caspian sea
- b) Black sea
- c) Mediterranean sea
- d) Red sea

Q.87) It is the world's longest travelling migratory raptors. They breed in Siberia and Northern China and migrate to winter in Southern Africa, Migrate west through India and across the Arabian Sea to Southern Africa. It's IUCN Status is Least Concern And also protected under the Indian Wildlife Protection Act, 1972 and the Convention on Migratory Species(CMS).

Which of the following bird species has been described in the above passage?

- a) Greater flamingos
- b) Bar-headed goose
- c) Siberian crane
- d) Amur falcons

Q.88) Consider the following statements:

1. Theme of the COP-15 of the United Nations Convention on Biological Diversity is "Ecological Civilization: Building a Shared Future for All Life on Earth".
2. The aim for the formation of UNFCCC is "Stabilisation of ozone depleting substances in the atmosphere."
3. The purpose of COP 26 Secure global net-zero by mid-century and keep 2.5 degrees.

Which of the statements given above is/are incorrect?

- a) 1 and 3 only
- b) 2 and 3 only
- c) 1 and 2 only
- d) 1, 2 and 3

Q.89) Recently the term 'Xenotransplantation' was seen in the news, is related to-

- a) Process of transplanting living cells or organs between different species.
- b) New technology of cloning.
- c) The techniques of plantation in urban areas.
- d) Process of data transmission related to plant species.

Q.90) Which of the following statements is/are correct ?

1. Biotech KISAN is a scientist-farmer partnership scheme launched by the Department of Biotechnology.
2. Climate Vulnerability Index released by the World Wide Fund (WWF).
3. The SANKALP Programme is a Centrally sponsored scheme launched by the Ministry of Labour & Employment.

Select the correct answer using the codes given below.

- a) 1 and 2 only
- b) 1 only
- c) 2 only



d) 1, 2 and 3

Q.91) Consider the following statements.

1. The Periyar River rises in the Western Ghats near the border with Kerala.
2. The Likha River is located in the southern part of Meghalaya.
3. The Canary archipelago (group of islands) is located in the Arctic ocean.

Which of the statements given above is/are incorrect?

- a) 1 and 2 only
- b) 1 and 3 only
- c) 2 and 3 only
- d) 1, 2 and 3

Q.92) Which one of the following statements is correct regarding DLX1 gene?

- a) DLX1 gene plays an important role in the development of jaws, skeleton, and interneurons in the brain.
- b) DLX1 gene is found in plants in the stomata and helps in photosynthesis.
- c) DLX1 gene plays an important role in the development of nephrons of the kidney in frogs.
- d) DLX1 is the new gene found in humans and helps to build immunity against COVID-19.

Q.93) In the context of art and culture in India, consider the following statements:

1. Meenakari is the process of coloring the surfaces of metals through enameling.
2. Meenakari was introduced in India by the tughlaqs.
3. Raja Man Singh of Mewar gave patronage to meenakari art in 16th century Jaipur.

Which of the statements given above is/are incorrect?

- a) 1 and 2 only
- b) 2 only
- c) 3 only
- d) 1, 2 and 3

Q.94) With the reference to Payment Banks, Consider the following statements:

1. SEBI has allowed payments banks to act as investment bankers.
2. It can accept demand deposits up to Rs 2 lakh.
3. Establishment of the payment bank was suggested by the Nachiket Mor committee.
4. It can offer remittance services, mobile payment, transfers, purchases and other banking services.

Which of the statements given above is/are correct?

- a) 2 and 3 only
- b) 1, and 3 only
- c) 1, 3 and 4 only
- d) 1, 2, 3 and 4

Q.95) Consider the following statements regarding the Water Convention:

1. The Convention on the Protection and Use of Transboundary Watercourses and International Lakes came into force in 1996.
2. The Water Convention is not a legally binding instrument promoting equal share of water resources.

Which of the statements given above is/are correct?

- a) 1 only
- b) 2 only
- c) Both 1 and 2
- d) Neither 1 nor 2

Q.96) Consider the following statements:

1. Endosulfan is an insecticide, used to control insects on food and non-food crops.
2. Geospatial Energy Map of India is developed by NITI Aayog in collaboration with Indian Space Research Organisation (ISRO).
3. Ayush Van is a dedicated forest for Ayurvedic plants located at the Deendayal Port Trust (DPT) in Kutch, Gujarats.

Which of the statements given above is/are correct?

- a) 2 only
- b) 1 and 2 only
- c) 2 and 3 only
- d) 1, 2 and 3

Q.97) Which of the following statements is/are correct about the International Criminal Police Organization (INTERPOL) ?



1. The International Criminal Police Organization (INTERPOL) is an intergovernmental organization that helps coordinate the police force.

2. The INTERPOL General Assembly meets thrice a year to vote on activities and policy.

Select the correct answer using the codes given below.

- a) 1 only
- b) 2 only
- c) 1 and 2 only
- d) 1, 2 and 3

Q.98) With the reference to North Eastern Council, Consider the following statements:

- 1. North eastern council is a statutory body.
- 2. It is the nodal agency for the economic and social development of the North Eastern Region.
- 3. It consists of the seven States of Assam, Manipur, Meghalaya, Mizoram, Nagaland, Arunachal Pradesh and Tripura.

Which of the statements given above is/are correct?

- a) 1 and 3 only
- b) 2 only
- c) 1 and 2 only
- d) 1, 2 and 3

Q.99) "They inhabit lowland dry, or seasonally inundated, natural and semi-natural grasslands often interspersed with scattered scrub or patchy open forest. The species is found in very small numbers in India and Cambodia. About a hundred of them are present in Nepal, and the species is extinct in Bangladesh. In India, the species habitat lies in the floodplains of the country's two largest rivers, the Ganga and Brahmaputra."

Which of the following bird species has been described in the above passage?

- a) Bengal florican
- b) Lesser Florican
- c) Grey Pelican
- d) Great Indian Bustard

Q.100) Consider the following statements:

- 1. Any citizen of India of full age and capacity can make a declaration renouncing Indian citizenship.

2. Citizens who have been ordinarily resident out of India for a period of 7 years lose the citizenship of India.

3. Minor children of the person who renounces citizenship stand to lose their Indian citizenship.

4. The new guideline has a provision that Citizens need not to mention the reason for renouncing the citizenship of India.

Which of the statements given above is/are correct?

- a) 2 and 4 only
- b) 2 and 3 only
- c) 1, 2 and 3 only
- d) 1, 2, 3 and 4



Q.1) Ans: B

Exp:

Exp:

Option B is the Correct answer.

The Repo Rate is the (fixed) interest rate at which the RBI provides overnight liquidity up to a certain limit (0.25% of their NDTL) to banks against the collateral of government and other approved securities under the Liquidity Adjustment Facility (LAF). Repo is short form of "Repurchase Agreement".

Marginal Standing Facility (MSF) is a facility introduced in 2011, under which scheduled commercial banks can borrow additional amount of **overnight money (over and above what is available to them through repo rate)** from the Reserve Bank by **dipping into their SLR portfolio** up to a limit at a **penal rate of interest**. This provides a safety valve against unanticipated liquidity shocks to the banking system.

- The main difference between the Repo rate loans and the loans availed under the Marginal Standing Facility:

When banks take loans from RBI at Repo rate, banks need to keep Govt. Securities with RBI, but **this security is in addition to the requirement of SLR. Banks cannot keep SLR securities to avail loan from RBI at Repo Rate.**

But under MSF, banks can borrow money/cash from RBI **by dipping into the SLR reserve**. This means the banks can keep 3% of the SLR securities with RBI (i.e. the SLR can go down up to 3% below the normal SLR limit) and can borrow cash from RBI.

MSF Rate = Repo Rate + 0.25%

Q.2) Ans: B

- **Statement 1 is Incorrect:** The amount of cash that the scheduled and non-scheduled commercial banks are required to maintain with RBI with respect to their **Net Deposit and Time Liabilities (on a fortnightly basis)** is called the Cash Reserve Ratio (CRR).

On the other hand, the **Statutory Liquidity Ratio (SLR)** is the amount of reserves that the scheduled commercial banks are required to maintain with themselves on a daily basis in safe and liquid assets such as government securities, gold and cash with respect to their NDTL i.e. Net Deposit and Time Liabilities.

- **Statement 2 is Incorrect:** All Commercial and Cooperative Banks (either scheduled or non-scheduled) are required to maintain CRR and SLR. For scheduled banks, the maintenance of CRR is governed through **The Reserve Bank of India Act 1934** and for Non-Scheduled banks CRR is governed through **Banking Regulation Act 1949.**

The Banking Regulation Act 1949 (Section 24) governs maintenance of SLR for all banks (scheduled and non-scheduled) commercial and cooperative.

- **Statement 3 is Correct:** As per the RBI Act, 1934- **"In terms of Section 42(1) of the RBI Act, 1934 the Reserve Bank, having regard to the needs of securing the monetary stability in the country, prescribes the CRR for SCBs without any floor or ceiling rate".**

However, as per the Banking Regulation Act 1949, the maximum limit for SLR is 40%.

Deposits of the public are the liability of banks. One of the basic reasons for keeping CRR and SLR with RBI is to



provide safety to the public deposits and it also enables the RBI to control the amount of money that banks can create. **It ensures that banks have a safe cushion of assets to draw on when account holders want to be paid.** In absence of the CRR and SLR requirements, to make more profits banks may lend most of the deposits and if there is a sudden rush to withdraw, banks will struggle to meet the repayments.

Q.3) Ans: C

Exp:

- **Statement 1 is Correct:** As availability of the capital is one of the most important factors contributing to the economic growth an increase in the capital inflows of the country is widely regarded as a very welcome phenomenon. **It increases the levels of investment and encourages economic growth.**
- **Statement 2 and 3 are Incorrect:** The surging capital inflows can also lead to destabilizing side effects, including a tendency of the local currency to appreciate. Hence, **the Indian Rupee will appreciate** instead of depreciating as a result of increasing capital inflows. This will have a **negative impact on the exports of the country as it undermines the competitiveness of exports of the country.**
- **Statement 4 is Correct:** Increase in Capital inflows can also **lead to inflation**. This is mainly because, when foreign investors bring foreign currency/dollars, ultimately this dollar comes to RBI and new money/currency is given by RBI to the investors which **increase money supply (and monetary base) in the economy without a corresponding increase in production: too much money begins to chase too few goods and services resulting in inflation.**

Hence, to reduce inflation in such cases, central banks often attempt what is known as the “sterilization” of capital flows. In a successful sterilization operation, the

domestic component of the monetary base/ money supply is reduced to offset the inflow of capital, at least temporarily. This is done through **the use of open market operations, that is, selling Treasury bills and other securities by RBI to reduce the domestic component of the monetary base/ money supply.**

(Note: In the above given statements, Rupee appreciation(Statement 2) and rise in inflation (Statement 4) are contradictory options. Hence, one of them can be eliminated to get the right answer.)

Q.4) Ans: A

Exp:

Option A is the correct answer.

Monetary Policy is the process by which the **monetary authority (RBI) of a country controls the creation and supply of money in the economy.**

The objectives of monetary policy in India include **maintaining price stability, ensuring adequate flow of credit to productive sectors of the economy for supporting economic growth and achieving financial stability.**

Monetary policy can be either **expansionary or contractionary**. Expansionary monetary policy increases the total supply of money more rapidly than the usual whereas contractionary policy expands the money supply slower than the usual or even reduces it. **Expansionary policy is also called ‘Dovish’ or ‘Accommodative’ or ‘Easy Money Policy’.** Contractionary policy is also called **‘Hawkish’ or ‘Tight Money Policy’.**

Q.5) Ans: D

Exp:



A Public sector bank is a bank where the **majority stakes are owned by the Government or the central bank of the country**. Public Sector Banks (PSBs) are under **dual regulation of Central Govt. and RBI**.

- **Statement 1 is Incorrect:** When it comes to the Public Sector Banks, the powers of RBI are **curtailed. RBI cannot remove directors and management** of a public sector bank. Along with this **RBI cannot revoke the banking licence as well.**
- **Statement 2 is Incorrect:** In case of Private sector banks, RBI regulates the merger of banks, however it **doesn't have the same powers** when it comes to Public sector banks.
- **Statement 3 is Incorrect:** RBI **cannot merge or wind up the public sector banks** because they are under the dual regulation of RBI and Central Govt. Along with this, **RBI also cannot supersede the board of Public sector banks.**

In case of **private commercial banks** a license is required from RBI to:

- To commence banking operations
- Opening of new bank branches
- Closing of branches or change in the location of existing branches (As per the recent norms however, no approval is required for shifting, merger and closure of urban branches)

RBI also regulates merger, amalgamation and winding up of private commercial banks.

Thus, RBI cannot regulate merger, closing down or matters regarding revoking license of a public sector bank.

Q.6) Ans: D

Exp:

- **Statements 1, 2 and 4 are Correct:** The four All India Financial Institutions – **NABARD, NHB, EXIM Bank and SIDBI** are under **full-fledged regulation and supervision of the RBI**. **NBFCs, Primary Dealers and CICs** are also under the regulation and supervision of RBI.

RBI regulates Banks and NBFCs both but till July 2019 RBI had the powers to supersede the Board of Banks only (in case of any mismanagement/default) and not NBFCs. In July 2019, RBI Act 1934 was amended to allow **RBI to supersede the Board of NBFCs also (and appoint administrator) in public interest.**

- **Statement 3 is Incorrect:** **Cooperative Banks** however, **are under dual regulation of RBI and Government**. Banking related functions are regulated by RBI and management related functions are regulated by respective State governments or the Central Government, as the case may be

Q.7) Ans: D

Exp:

Option D is the Correct answer.

A bank run occurs when a large number of customers of a bank or other financial institution withdraw their deposits simultaneously over concerns of the bank's solvency.

It is a situation that occurs when everybody wants to take money out of one's bank account before the bank runs out of reserves. As more and more people withdraw their funds, **the probability of default increases, thereby prompting more people to withdraw their deposits. In extreme cases, the bank's reserves may not be sufficient to cover the withdrawals.** A bank run is typically the **result of panic** which can ultimately lead to default.



In such extreme situations, the RBI stands by the commercial banks as a guarantor and extends loans to ensure the solvency of the banks. (Solvency is the ability of a company to meet its long-term financial obligations which is essential to staying in business). This system of guarantee assures individual account holders that their banks will be able to pay their money back in case of a crisis and there is no need to panic thus avoiding bank runs. This role of RBI is also called 'lender of last resort'.

Q.8) Ans: B

Exp:

Reserve Bank authorizes Payment Systems in terms of powers vested with it by the Payment and Settlement Systems Act, 2007 (PSS Act).

- **Statement 1 is Correct:** The Payment and Settlement Systems Act, 2007 provides for regulation and supervision of payment systems in India and as per the Act, only payment systems authorized by the RBI can be operated in the country.

RBI, as the regulator of payment and settlement systems in the country, sets the necessary regulatory framework to ensure that different types of payment systems operate in a safe, secure and efficient manner to meet the needs of varied segments of society.

- **Statement 2 is Incorrect:** National Payments Corporation of India (NPCI), is a non-bank payment system operator authorized by RBI to operate the following payment systems under the PSS Act 2007.

NPCI is a 'Not for Profit' company where 51% stake is owned by public sector banks.

- **Statement 3 is also Incorrect:** The non-bank entities have also been permitted access to the payment space, given the demand for varied payment services and in keeping with the fast pace of technological change. These non-banks are co-operating, as well as, competing with banks, either as technology service providers to banks or by directly providing retail electronic payment services.

It may be noted that licensed banks also need to obtain specific permission from RBI for setting up and operating a payment system. This is because banking functions are different and operating a "payment system" (which facilitates payment from one entity to another) is different.

Q.9) Ans: D

Exp:

Priority sectors refer to those sectors of the economy which may not get timely and adequate credit in the absence of this special scheme. Typically, these are small value loans to those sectors of the society/economy that impact large segments of the population and weaker sections, and to the sectors which are employment intensive such as agriculture and small enterprises.

- **Statements 1, 2, 3, 4 and 5 are Correct:** In Agriculture sector, following activities can be granted loans under the Priority Sector Lending:
 1. Loans to Individual farmers and Farmer Producer Organisations
 2. Crop loans, machinery loans for all kinds of agri and allied activities
 3. Loans for food and agro-processing activities are also included under Agriculture
 4. Loans for installation of solar plants and for solarisation of grid connected pumps
 5. Setting up Compressed Biogas plants



Q.10) Ans: C

Exp:

Option C is the Correct answer.

On-lending means loans sanctioned by banks to eligible intermediaries for onward lending **only for the creation of priority sector assets**. The average maturity of priority sector assets thus created should be broadly co-terminus with maturity of the bank loan.

The RBI issued a circular under which on-lending by registered NBFCs (other than MFIs) towards agriculture, MSEs and housing sector up to prescribed limits will be treated as priority sector loans. **It is being done in order to boost credit to the needy segment of borrowers.**

Bank credit to NBFCs for 'On-Lending' will be allowed up to a limit of **five percent of individual bank's total priority sector lending** on an ongoing basis.

Q.11) Ans: B

Exp:

Priority sectors refer to those sectors of the economy which may not get timely and adequate credit in the absence of this special scheme.

- **Statement 1 is Incorrect:** Priority Sector lending constitutes small value loans to those sectors of the society/economy that impact large segments of the population and weaker sections, and to the sectors which are employment intensive such as agriculture and small enterprises. **However, priority sector guidelines do not lay down any preferential rate of interest for priority sector loans.**
- **Statement 2 is Correct:** To address regional disparities in the flow of priority sector credit at the district level, the Reserve Bank of India has decided to rank districts **on the basis of per**

capita credit flow to priority sector and build an incentive framework for districts with comparatively lower flow of credit and a disincentive framework for districts with comparatively higher flow of priority sector credit.

- **Statement 3 is Incorrect:** As per RBI, from FY 2021-22 onwards, **a higher weight (125%) would be assigned to the incremental priority sector credit in the identified districts where the credit flow is comparatively lower (per capita PSL less than ₹6000), and a lower weight (90%) would be assigned for incremental priority sector credit in the identified districts where the credit flow is comparatively higher (per capita PSL greater than ₹25,000).**" RBI has given the list of different categories of districts. Hence, the given statement is wrong because **districts are not categorised as per the criteria of aspirational districts.**

It will be applicable for the new (incremental) loans given from 1st April 2021 onwards.

Q.12) Ans: D

Exp:

RBI has over time established a sound and rich tradition of policy-oriented research and an effective mechanism for disseminating data and information. The RBI disseminates data and information regularly in the form of several publications, press releases and through its website.

All of the given reports except the Indian Economy Prospects are published by the RBI.

RBI is under legal obligation under the RBI Act to publish two reports every year: The Annual Report and the **Report on Trend and Progress of Banking in India.** Besides these two, following are some of the important reports published by the RBI:



1. Consumer Expectation Survey
2. Inflation Expectation Survey
3. Financial Stability Report
4. Interest Subvention Report
5. Report on Foreign Exchange Reserves

India is also a signatory of the **Special Data Dissemination Standards (SDDS)** as defined by the IMF for the purpose of releasing data.

Reference:

<https://www.rbi.org.in/Scripts/Publications.aspx?publication=Annual>

Q.13) Ans: C

Exp:

Money Multiplier relates to the **maximum amount of commercial bank money that can be created, given a certain amount of central bank money**. It is also represented in the following form:

Let us analyze the given statements in the light of the above equation:

- **Statement 1 is Correct:** Cash Reserve Ratio is the **amount of cash that the scheduled commercial banks are required to maintain with RBI with respect to their NDTL** (on a fortnightly basis). The lesser the reserves, the more is the amount available for lending activities and vice versa. Hence, **Cash Reserve Ratios do affect the Money Multiplier.**
- **Statement 2 is Correct:** The amount of reserves that the scheduled commercial banks are required to maintain with themselves on a daily basis in safe and liquid assets such as government securities, gold and cash with respect to their NDTL is called the **Statutory Liquidity Ratio**. The percentage of the SLR also

determines the liquidity and hence the money multiplier in the economy.

- **Statement 3 is Incorrect:** Inflation, whether cost push or demand pull inflation is **partially caused by the amount of monetary supply in the market**. A higher money multiplier increases the liquidity in the economy leading to a higher level of disposable income which leads to inflation. **Hence, inflation is the effect and not the cause affecting the money multiplier.**
- **Statement 4 is Correct:** The total liability of the Monetary Authority (RBI) of the country is called Monetary Base or **High Powered Money or Reserve Money [M0]**. As per the given equation, **the money supply will increase in proportion to the increase in the High powered money or the monetary base**. Hence, it will affect the money multiplier as well.

Q.14) Ans: D

Exp:

MUDRA (Micro Units Development and Refinance Agency Ltd.) is a financial institution set up by Govt. of India for **development and refinancing micro unit enterprises**.

- **Statement 1 is Incorrect:** MUDRA Bank was launched on 8 April 2015. In 2016, it **was converted as a wholly owned subsidiary of SIDBI and renamed as MUDRA (SIDBI) Bank**. The micro finance institutions (MFIs) can become Member Lending Institutions (MLIs) with MUDRA (SIDBI) Bank for refinance and with National Credit Guarantee Trustee Company (NCGTC) for credit guarantee.
- **Statement 2 is Incorrect:** MUDRA has been established with an objective of aiding the development of micro unit enterprises. However, **MUDRA is a refinancing Institution**. **MUDRA does not lend directly to the micro**



entrepreneurs / individuals (*Refinancing means MUDRA loans will be available through Banks/NBFCs/MFIs and not direct lending*).

Mudra loans under Pradhan Mantri Mudra Yojana (PMMY) can be availed of from nearby branch offices of a bank, NBFC, MFIs etc. Borrowers can also now file online applications for MUDRA loans on the Udyamimitra portal.

- **Statement 3 is Incorrect:** The purpose of MUDRA is to provide **funding to the non-corporate (informal sector) small business sector** such as small manufacturing units, shopkeepers, fruits and vegetable sellers, hair salons, beauty parlours, truck operators, hawkers, artisans in rural and urban areas with financing requirements of **up to Rs 10 lakhs**.

MUDRA would be responsible for **refinancing all Last Mile Financiers** such as Micro Financial Institutions, Non-Banking Finance Companies, Societies, Trusts, Companies, Co-operative Societies, Small Banks, Scheduled Commercial Banks and Regional Rural Banks which are in the business of lending to micro/small business entities engaged in manufacturing, trading and services activities.

Q.15) Ans: C

Exp:

RBI has made it mandatory for banks to link **all new floating rate personal or retail loans and floating rate loans to MSMEs** to an external benchmark effective October 1, 2019.

- **Only Statements 2 and 4 are Correct:** Banks can choose one of the **four external benchmarks**
 1. Repo rate
 2. Three-month treasury bill yield
 3. Six-month treasury bill yield
 4. Any other benchmark interest rate published by Financial Benchmarks India Pvt. Ltd.

This was mainly done because **the transmission of policy (repo) rate** changes to the lending rate of banks under the MCLR framework has not been satisfactory due the various reasons like:

- Banks feared that they might lose depositors/customers if they reduced the deposit rate first, and since deposit rate was not reduced, MCLR (or base rate) was also not coming down.
- Government offering higher interest rates on its own small savings scheme.

However, banks are **not mandated** to link their deposit rates with an external benchmark rate. Marginal Cost of Funds based Lending Rate (MCLR) and Benchmark Prime Lending Rate are internal benchmark rates.

Q.16) Ans: D

Exp:

- **Statement 1 is Incorrect:** RBI has made it **mandatory for banks to link all new floating rate personal or retail loans and floating rate loans to MSMEs to an external benchmark effective October 1, 2019**. Banks can choose one of the four external benchmarks – repo rate, three-month treasury bill yield, six-month treasury bill yield or any other benchmark interest rate published by Financial Benchmarks India Pvt. Ltd. **However, banks are not mandated to link their deposit rates with an external benchmark rate.**
- **Statement 2 is Incorrect:** Banks are **free to decide the components of spread and the amount of spread**. But in general, the spread consists of credit risk premium, business strategy, operational costs of banks etc. While the banks will be free to decide on the spread over the external benchmark, **credit risk premium can change only when the borrower's credit assessment undergoes a substantial**



change. The other components of the spread like operating cost can be altered once in three years.

The purpose of linking the lending rate with an external benchmark is **faster transmission of repo rate into lending rate and this mechanism is more transparent also**. Adopting multiple benchmarks by the same bank is not allowed within a loan category.

Q.17) Ans: D

Exp:

The CRAR is the ratio of the Bank's capital to the risk weighted assets of the Banks. It is defined as:

(Tier -1 Capital (Equity) + Tier-2 Capital (Debt)/ Risk Weighted Assets (RWAs))

- **Statement 1 is Incorrect:** The CRAR is based on the concept that the banks should have **sufficient capital** in order to withstand the risk associated with the loans given by them. The Banks are required to assign risk weightage to the different categories of loans. Thus, **a higher the capital to risk weighted asset ratio (CRAR), higher is the safety of bank deposits**.
- **Statement 2 is Incorrect:** The higher the capital is above the regulatory minimum, the greater the freedom banks have to make loans. The closer bank capital is to the minimum, the less inclined banks are to lend. If capital falls below the regulatory minimum, banks cannot lend or face restrictions on lending.

When loans go bad and turn into non-performing assets (NPAs) banks have to make provisions for potential losses (i.e. banks are required to keep certain funds in reserve which they can't lend and is called **provisioning**

against NPAs). This tends to erode bank capital and put brakes on loan growth. Public Sector Banks (PSBs) have been facing this issue since 2012-13.

Q.18) Ans: D

Exp:

The RBI introduced the **Prompt Corrective Action framework in 2002** as a structured early-intervention mechanism for banks that become undercapitalised due to poor asset quality, or vulnerable due to loss of profitability. **It aims to check the problem of Non-Performing Assets (NPAs) in the Indian banking sector**.

- **Statements 1, 3 and 4 are correct:** The Reserve Bank has specified certain regulatory trigger points, as a part of prompt corrective action (PCA) Framework, in terms of three parameters, i.e.
 1. **Capital to risk weighted assets ratio (CRAR)**
 2. **Net non-performing assets (NPA)**
 3. **Return on Assets (RoA)**

These are considered for initiation of certain structured and discretionary actions in respect of banks hitting such trigger points. The PCA framework **is applicable only to commercial banks and not extended to co-operative banks, non-banking financial companies (NBFCs) and FIs**.

Q.19) Ans: B

Exp:

- **Statement 1 is Correct:** RBI's Prompt Corrective Action Framework **aims to check the problem of Non-Performing Assets (NPAs) in the Indian banking sector. The PCA framework is applicable only to commercial banks and not extended to co-operative banks and non-**



banking financial companies (NBFCs). RBI has also brought in “**Supervisory Action Framework**” (SAF) for Urban Cooperative Banks in place of PCA for commercial banks.

- **Statement 2 is Correct:** For banks under PCA, RBI may **put restrictions on branch expansion, distributing dividends, capping compensation and fees of management and directors**. In certain cases, **banks may be stopped from lending and there can be a cap on lending to specific sectors/entities**. Further, RBI may take steps to bring in a new management/Board, appoint consultants for business/ organizational structuring, take steps to change ownership and can also take steps to merge the bank.
- **Statement 3 is Incorrect:** Under the PCA framework, RBI’s objective is to facilitate the banks to take corrective measures including those prescribed by the Reserve Bank, in a timely manner, in order to restore their financial health. The RBI has clarified that **the PCA framework is not intended to constrain normal operations of the banks for the general public like lending and depositing**.

Indian word and it means spices. Unlike dollar bonds, where the borrower takes the currency risk, **Masala bonds make the investors bear the currency risk**.

- **Statement 3 is Correct:** **American Depository Receipts provide US investors with an opportunity to trade in shares of a foreign company**. The domestic company, already listed in its local stock exchange, sells its shares in bulk to a U.S. bank to get itself listed on U.S. exchange. The U.S. bank accepts the shares of the issuing company. The bank keeps the shares in its security and issues certificates (ADRs) to the interested investors through the exchange.
- **Statement 4 is Incorrect:** Indian depository receipt (IDR) is a negotiable and transferable financial instrument **denominated in Indian rupees that enables foreign companies to raise funds from Indian stock and financial markets**. Indian depository receipts are the Indian versions of similar Global depository receipts.

Q.21) Ans: A

Exp:

- **Statement 1 is Incorrect:** The Government has accepted the international practice regarding the definitions of Foreign Direct Investment and Foreign Portfolio Investment. Hence, **in a particular company, an investor can hold the investments either under the FPI route or under the FDI route, but not both**.
- **Statement 2 is Correct:** As per the regulations under **Foreign Exchange Management Act (FEMA) 1999**, an Indian company receiving FDI **does not require any prior approval of RBI at any stage**. It is only required to report the capital inflow and subsequently the issue of shares to the RBI in prescribed formats under both the routes.

Q.20) Ans: C

Exp:

- **Statement 1 is Correct:** Indian companies (either government company or private) raising debt finance (through bank loans or issuance of bonds etc.) from foreign countries/investors is called **External Commercial Borrowings (ECB)**. Money is raised in foreign currency and the borrower issued **Dollar denominated bonds** to the foreign investor.
- **Statement 2 is Correct:** Masala Bonds are a kind of ECB where the bonds **are issued outside India but denominated in Indian Rupees**, rather than the local currency. Masala is an



Q.22) Ans: D

Exp:

A **currency swap** between two countries is an agreement or contract to **exchange currencies with predetermined terms and conditions**.

- **Statement 1 is Correct:** The main purpose of currency swap by a central bank is to get the foreign currency from the issuing foreign central bank at the predetermined conditions (like exchange rate and the volume of currency for the swap).

This is done to avoid turbulence and other risks in the foreign exchange market and exchange rate. These swap operations carry zero exchange rate or other market risks, as transaction terms are set in advance.

- **Statement 2 is Correct:** This facility provides the country, which is getting the dollars, with the **flexibility to use these reserves at any time** in order to maintain an appropriate level of balance of payments or short-term liquidity.

Thus, the RBI can just keep these dollars with itself also to shore up its own foreign exchange reserves and defend the rupee. In case of Rupee depreciation, RBI can either sell these dollars (or yen) to importers to settle their bills or to borrowers to pay off their foreign loans. **This allows RBI to stop depreciation of Rupee without actually going to the market to purchase these dollars (by selling rupees) which would have further depreciated the rupee. So, currency swap is a kind of out of market transaction which can be used to stop depreciation of the respective currency.**

Exp:

Monetary policy transmission is the process through which policy action of the central bank is transmitted to meet the ultimate objectives of inflation and growth.

- **Statement 1 is Correct:** The Reserve Bank of India (RBI) has decided to introduce **long-term repo operations (LTRO) to facilitate the transmission of monetary policy actions and flow of credit to the economy**. In this, the central bank will conduct long-term repos of one- and three-year tenors of appropriate sizes for up to a total amount of Rs 1,00,000 crore at the policy repo rate. It will **also bring down the cost of funds for banks without effectively cutting deposit rates**.
- **Statement 2 is Incorrect:** KYC means “Know Your Customer”. It is a process by which banks obtain information about the identity and address of the customers. **This process helps to ensure that banks’ services are not misused and has little to no role in monetary policy transmission.**
- **Statement 3 is Correct:** **Currency swap operation can also lead to better transmission into the lending rate also.** RBI did forex swap in March 2019 to increase (rupee) liquidity/money supply in the economy because RBI had already exhausted much of the open market operation limit.
- **Statement 4 is Incorrect:** Capital Adequacy Ratio (CAR) is the ratio of a bank’s capital in relation to its risk weighted assets and current liabilities. **It is decided by central banks and bank regulators to prevent commercial banks from taking excess leverage and becoming insolvent in the process.** It is measured as

Capital Adequacy Ratio = (Tier I + Tier II + Tier III (Capital funds)) / Risk weighted assets

Q.23) Ans: C



However, Capital Adequacy ratio is related to a bank's financial soundness and not policy transmission.

management control in BPCL to GAIL, it will be considered as a strategic disinvestment.

Q.24) Ans: D

Exp:

The term "Strategic Disinvestment" means the **sale of a substantial portion of the Government share-holding of a central public sector enterprise (CPSE) of up to 50%, or such higher percentage (to the strategic partner) along with transfer of management control.**

- **Statement 1 is Incorrect:** As per the new policy (2019), **Department of Investment and Public Asset Management (DIPAM)** under the **Ministry of Finance** has been made the **nodal department** for the strategic disinvestment. **DIPAM and NITI Aayog will now jointly identify PSUs for strategic disinvestment and then it is approved by CCEA.**
- **Statement 2 is Incorrect:** The policy of liberalisation began in India in 1991 under then Prime Minister P.V. Narasimha Rao, since then, the country saw a steady flow of disinvestment decisions. However, **strategic disinvestment (privatisation), where buyers took over management control, began later under the National Democratic Alliance governments.** **Arun Shourie, the country's first Disinvestment Minister, gave an impetus to the exercise.** He is credited with the privatisation of Maruti, Bharat Aluminium Company Ltd., Videsh Sanchar Nigam Limited and Hindustan Zinc through the strategic sale process.
- **Statement 3 is Correct: Even if the government gives its management control to another PSU (rather than a private partner), it is also considered as strategic disinvestment.** For instance, if the government in future decides to transfer 100% of its ownership and

Q.25) Ans: D

Exp:

Option D is the Correct answer.

The amount of cash that the scheduled commercial banks are required to maintain with RBI with respect to their NDTL (on a fortnightly basis) is called **Cash Reserve Ratio**. One of the basic reasons for keeping CRR with RBI is to provide safety to the public deposits. "In terms of Section 42(1) of the RBI Act, 1934 the Reserve Bank, having regard to the needs of securing the monetary stability in the country, prescribes the CRR for SCBs without any floor or ceiling rate".

When the Cash Reserve Ratio is increased banks will have a lesser quantity of money to lend than before.

This will also result in a decrease in the money supply. When the central bank increases the CRR it is also said to be following a **tight money policy**.

Q.26) Ans: D

Exp:

Option D is the Correct answer.

- **Market Stabilization Scheme (MSS)** is a monetary policy intervention by the RBI **to withdraw excess liquidity (or money supply) by selling government securities** in the economy.
- The MSS was introduced in **April 2004**.
- Excess liquidity or money from the system is removed **by selling government bonds under this scheme**.
- These securities are **owned by the government** though they are issued by the RBI.



- The money obtained under MSS should be kept with the RBI. It should not be transferred to the government. This is because, if it is transferred, the government will spend the money in the economy thereby adding to liquidity.

Q.27) Ans: A

Exp:

Option A is the Correct answer.

The Reserve Bank of India recently announced a Government Security Acquisition Programme, GSAP 1.0. Under the programme, the central bank will purchase government bonds worth Rs 1 trillion (or one lakh crores of rupees).

- The main objective of this programme is to **provide stability and avoid volatility in the G-sec market** (A G-Sec is a tradable instrument issued by the Central Government or the State Governments) in view of its central role in the pricing of other financial market instruments across the term structure and issuers, both in the public and private sectors
- The programme will help **to reduce the spread between repo rate and the ten-year government bond yield.**
- It will also help **to reduce aggregate cost of borrowing for the centre and states** in fiscal year 2022.
- It will enable a **stable and orderly evolution of the yield curve** amidst comfortable liquidity conditions.
- The rise in bond yields led to weakness in the equity markets. Now, **the yields will once again stabilize.** With this, the FPI inflow into equities could **regain momentum.**

Reference:

<https://indianexpress.com/article/explained/g-sap-rbi-market-7263221/>

Q.28) Ans: D

Exp:

- **Statement 1 is Incorrect:** NABARD was established in 1982. It provides credit for the promotion of agriculture, small scale industries, cottage and village industries, handicrafts and other rural crafts and other allied activities. It **does not extend direct credit at individual level** but extends indirect financial assistance by way of **refinance** (NABARD finances those institutions which provide financial assistance to the rural sector).
- **Statement 2 is Incorrect:** SIDBI was established in 1990 under the provisions of Small Industries Development of India Act 1989. SIDBI mainly extends indirect financial assistance (by way of refinance) to financial institutions for onward lending to MSMEs.
- **Statement 3 is Incorrect:** MUDRA (Micro Units Development and Refinance Agency Ltd.) is a financial institution set up by Govt. of India for development and **refinancing micro unit enterprises**. MUDRA loans will be available through Banks/NBFCs/MFIs and **not direct lending.**

Q.29) Ans: D

Exp:

An NBFC is a company registered under the **Companies Act, 1956/2013** engaged in the business of loans and advances, acquisition of shares/stocks/bonds/debentures/securities issued by Government or local authority or other marketable securities of a like nature, leasing, hire-purchase, insurance business, chit business.

- **Statements 1, 2, 3 and 4 are Correct:** **All of the given financial institutions are NBFCs.** Some examples of NBFCs:



1. Venture Capital Fund, Merchant Banking Companies, Stock broking companies (registered with SEBI)
2. Insurance Companies (holding a valid certificate of registration issued by IRDA)
3. Nidhi Companies (registered under Companies Act and regulated by Ministry of Corporate Affairs)
4. Chit companies (Chit Funds Act, 1982 and regulated by respective State governments)
5. Micro Financial Institutions (MFIs)

However, it **does not include** any institution whose principal business is that of agriculture activity, industrial activity, purchase or sale of any goods (other than securities) or providing any services and sale/purchase/ construction of immovable property.

Q.30) Ans: C

Exp:

Payment Banks are examples of differentiated banks in India. Differentiated Banks (niche banks) are banks that serve the needs of a certain demographic segment of the population.

- **Statement 1 is Incorrect:** Payments banks can issue debit cards however, they cannot issue credit cards. The main target for payment banks will be migrant labourers, self-employed, low income households etc. as they will offer **low cost savings accounts and remittance services** so that those who now transact only in cash can take their first step into the formal banking system.
- **Statement 2 is Correct:** The payments bank cannot undertake lending activities as it is a differentiated bank. However, distribution of non-risk sharing simple financial products like mutual fund units and insurance products, etc. is allowed.

- **Statement 3 is Incorrect:** Payments banks will accept only demand deposits i.e. only savings account and current account facility will be available. RBI has put a cap of Rs. 1 lakh on deposits that payment banks can receive from individual customers. This restriction will allow only those companies to seek payment bank licenses who are really interested in targeting the poor.

Q.31) Ans: C

Exp:

Option C is the Correct answer.

Open Market operations are **the sale or purchase of government securities by RBI in the open market (secondary bond/debt market) to banks/financial institutions for injection and absorption of durable liquidity (money supply) in the economy.** Open Market Operations are done on the E-Kuber platform of RBI.

- If the inflation in the economy is high then, to control the inflation RBI **reduces** the money supply by selling government securities to the public.
- If RBI wants to increase the money supply then it **buys government securities from the public** and pays them money in exchange of government securities which increases the money supply in the economy.

Hence, in the above given case, **an increase in the sale of G-secs indicates that the RBI is following a tight or contractionary money policy to reduce the inflation in the economy.**

Q.32) Ans: D

Exp:



An asset which stops giving returns to its investors for a specified period of time is known as **Non-Performing Asset (NPA)**. The Non Performing Assets in Public Banks are valued at approximately \$ 62 Billion, **which represents 90% of total NPA in India**. Hence, the Reserve Bank of India has taken many steps to tackle the problem of Non Performing Assets:

- **Statement 1 is Correct:** Prompt Corrective Action or PCA is a framework under which **banks with weak financial metrics are put under watch by the RBI**. The PCA framework deems banks as risky if they slip below certain norms on **three parameters — capital ratios, asset quality and profitability**. It has been done to keep a check on the Non Performing Assets in banks.
- **Statement 2 is Incorrect:** A "Payments Infrastructure Development Fund (PIDF)" has been created by RBI in June, 2020. The purpose of this fund will be to encourage Merchants/Retailers, so that more and more merchants and retailers start using the **Point of Sale (PoS) Infrastructure in underserved areas like Tier 3/4/5/6 cities and in eastern States**.
- **Statement 3 is Incorrect:** The Lead Bank Scheme was introduced by RBI in December 1969. The Scheme aims at coordinating the activities of banks and other developmental agencies through various fora in order to achieve the objective of **enhancing the flow of bank finance to priority sector and other sectors and to promote banks' role in overall development of the rural sector**.
- **Statement 4 is Correct:** As per the Banking Regulation (Amendment) Act, 2020, RBI can supersede the management of the **Urban Cooperative Banks (UCB), State Cooperative Banks (StCB) and District Central Cooperative Banks (DCCB)** if RBI feels that the affairs of the bank are conducted in a manner detrimental to the interest of the depositors. This will keep a **check on increasing NPAs in the cooperative banks**. Earlier this was applicable only for UCBs

and now in the amendment 2020, StCB and DCCB have also been included.

Q.33) Ans: D

Exp:

A liquidity trap is when monetary policy becomes ineffective **due to very low interest rates combined with consumers who prefer to save rather than invest in higher-yielding bonds or other investments**.

- **Statement 1 is Incorrect:** In case of liquidity trap, people keep their funds in **normal savings accounts (demand deposits) and do not want to lock their investment in fixed deposits at a very low interest rate**. They hope that in future the interest in the market will rise and then they will invest in bonds or other instruments.
- **Statement 2 is Incorrect: One marker of a liquidity trap is low interest rates.** In fact, when there was a situation of liquidity trap after the financial crisis of 2008, the European Central Bank resorted to **quantitative easing (QE) and a negative interest rate policy (NIRP)** in some areas in order to free themselves from the liquidity trap.

While a liquidity trap is a function of economic conditions, **it is also psychological since consumers are making a choice to hoard cash** instead of choosing higher-paying investments because of a negative economic view. High consumer savings levels, often spurred by the belief of a negative economic event on the horizon, causes monetary policy to be generally ineffective.

A liquidity trap is characterised by:

1. **Very low-interest rates**
2. **Low inflation**
3. **Slow/negative economic growth**



4. Preference for saving rather than spending and investment
5. Monetary policy becomes ineffective in boosting demand

As the Central Bank cannot stimulate the economy beyond this point, **the government should use its fiscal policy to pull the economy out of recession/slowdown.**

Q.34) Ans: D

Exp:

Small Finance Banks are examples of differentiated banks in India. Differentiated Banks (niche banks) are banks that serve the needs of a certain demographic segment of the population.

- **Statement 1 is Correct:** There will not be any restriction in the area of operations of small finance banks. **The small finance banks will be required to extend 75% of its total credit to the sectors eligible for classification as priority sector lending (PSL) by the RBI.**
- **Statement 2 is Correct:** At least 50 per cent of its loan portfolio should constitute loans and advances of up to Rs. 25 lakhs. This is done to increase financial inclusion and ease the availability of credit for marginal sections of the society.
- **Statement 3 is Correct:** The small finance banks shall primarily undertake basic banking activities of acceptance of ALL kinds of deposits (such as FD, RD, Savings, and Current, etc.) and lending to unserved and underserved sections including small business units, small and marginal farmers, micro and small industries and unorganized sector entities.

Q.35) Ans: D

Exp:

Option D is the Correct answer.

The total stock of money in circulation among the public at a particular point of time is called **money supply**. RBI publishes figures for four alternative measures of money supply. They are as follows:

M1 = Currency with the Public + Demand deposits of public with banks

M2 = M1 + Savings Deposits with Post Office Savings Bank

M3 = M1 + Time deposits of public with banks

M4 = M3 + Total deposits with Post Office Savings Bank

Hence, even if the time deposits are withdrawn (part of M3) there will be **no immediate effect on money supply** as the money withdrawn will be counted as the currency held with the public (part of M1).

Q.36) Ans: B

Exp:

Deposits of the public are the liability of banks. The public's demand deposits are demand liability of the bank and time deposits are time liability of the banks and the total of demand and time deposits of the public is called the **Net Demand and Time Liabilities (NDTL)** of the banks.

- **Statements 1, 2, 4 and 5 are Correct:** All of the given statements form a part of NDTL **except the Cash reserves as they are calculated on the basis of NDTL of a particular bank.**

Net demand and time liabilities usually include:



1. Money deposited in Fixed deposits (FD)
2. Cash certificates
3. Gold deposits.
4. Staff security deposit
5. Money deposited in savings account
6. Money deposited in current account
7. Demand drafts
8. Unclaimed deposits and so on.

Q.37) Ans: C

Exp:

- **Statement 1 is correct:** The concept of **Helicopter money** was given by Milton Friedman and deals with the creation of demand in the economy thereby boosting its growth. In situations of slowdown or recession when the people are reluctant to buy then by infusing money in the economy by the Central Bank at zero interest rates would lead to creation of demand and hence revive growth.
- **Statement 2 is correct:** Providing **negative interest rates** on deposits acts as a liability for the depositor. If banks provide a negative interest rate on saving accounts instead of +3% (consider) interest, then depositors instead of earning interest would be liable to pay some of the deposits. In case of loans, the borrower benefits as the negative interest charged by the investor would cause the investor to not only lend the money but also pay some extra amount as interest.

Q.38) Ans: D

Exp:

- **Option is D correct:** The depreciation of Indian currency is good for the exporters while adversely impacts the importers. Hence, certain

measures are adopted to bring about appreciation of the rupee when there is too much depreciation observed. The appreciation of Indian rupee can be achieved simply by decreasing its supply since reduced supply with constant demand would certainly push the prices up. When **greater FPI is allowed** in the Indian market, more dollars come in as investment and the supply of rupee in relation to dollars is less, thereby causing its appreciation. **Currency swap agreements** with other countries allows the parties to the agreement to use up a certain amount of dollars from each other's forex reserves in case of crisis. Allowing **greater External Commercial borrowings** by the corporates would increase the coming in of dollars and thereby appreciate rupee. When **RBI allows swapping of dollars with the Banks**, then greater dollars available with the banks are indirectly used to increase the supply of dollars in the economy. **Adopting the Dear Money policy by the RBI** would increase the interest rates on domestic loans given in rupee. This would reduce the rupee at the hands of people and may appreciate its value.

Q.39) Ans: C

Exp:

- **Option is C correct:** **African Development Bank** was established in 1964 and is based in Ivory Coast. India is a member of this bank and is entitled to the loans under it. India is a member of the Asian Development bank. Asian Development Bank was established in 1966 with its headquarter in Manila, Philippines. **European Bank for Reconstruction and Development** was established in 1991 in London. India is a member of this bank but is not entitled to loans from EBRD. The



International Centre for Settlement of Disputes is one among the five banks under the World Bank group. **India is not a member** of this. Other organizations part of the World Bank group are: *International Bank for Reconstruction and Development, International Development Association, International Finance Corporation, and Multilateral Investment Guarantee Agency,*

Q.40) Ans: C

Exp:

- **Statement 1 is incorrect:** **Asian Infrastructure Investment Bank (AIIB)** is based in Beijing, China and is a multilateral institution to finance infrastructure and development projects. China is the largest shareholder of the Bank followed by India and the UK. The voting power in the Bank is based on the share capital held by a member. The Asian countries command 75% of the voting power. Even though India is the second largest shareholder, it is the largest borrower of the bank. Hence, the loan share is not related to the shareholding of the member country.
- **Statement 2 is incorrect:** The Bretton wood organizations like World Bank, International Monetary Fund, and the World Trade Organization differ in their voting structures. While the **World Bank and International Monetary Fund** provides for voting share based on the shareholdings, the **World Trade Organization** envisages the concept of one country one vote.

Q.41) Ans: A

Exp:

- **Statement 1 is correct:** **Countervailing Duty** is regarded as a kind of tariff barrier imposed by an importer country when the imported goods appear cheaper than the domestic goods by way of subsidies provided to the exporters by the exporting country. Hence, countervailing duties are imposed on the imported goods. India has abolished this duty and charges the basic custom duty along with the social welfare surcharge.
- **Statement 2 is incorrect:** **Inverted Duty Structure** refers to a situation when import duty on the final good is less than that on the raw material imported for its domestic production. This makes the domestic production of such goods less remunerative as compared to their imports. Hence, it relates to imports. **Anti-Dumping duty** is charged when the price of export by an exporting country is less than its domestic cost of production. The purpose of such different prices is to dump the goods from one country to another country. The importing country charges anti-dumping duty to curb such exports by the other country.

Q.42) Ans: B

Exp:

- **Statement 1 is incorrect:** A number of agreements have been concluded at the WTO to curb the menace of tariff and non-tariff barriers which acts as a limitation on global trade. Some non-tariff barriers related are Agreement on Technical Barriers to Trade and the **Subsidies and Countervailing Measures** (for subsidies) for the non-food items. While for the food items, agreements include Agreement on Sanitary and Phytosanitary Measures and the Agreement on Agriculture (for subsidies). Hence, to curb the use of subsidies as a non-



tariff barrier to trade, WTO has two agreements for food and non-food items.

- **Statement 2 is incorrect:** **General Agreement on Tariffs and Trade (GATT)** is an agreement to end the tariff barriers. It relates only to goods while the **General Agreement to Trade in Services (GATS)** includes the same for services.
- **Statement 3 is correct:** India's **Special Economic Zones** that seeks to create special demarcated territories considered as foreign areas and subjected to relaxed tax laws. Tax holidays and subsidies to boost exports in SEZ schemes has been regarded as a violation under Subsidies and Countervailing measures as per USA.

Q.43) Ans: A

Exp:

- **Statement 1 is incorrect:** **Peace Clause** was introduced by the WTO in its **Bali Package and Trade Facilitation Agreement** in Bali, Indonesia in 2013. Peace clause provides immunity to the developing countries from the upper limit of food subsidies provided to their food security programs. The **Amber Box** subsidies under the **Agreement on Agriculture** allows developed countries to provide a 5% subsidy on the volume of production while the same for developing countries is 10%. Hence, the Peace clause is introduced as an exception to the Agreement on Agriculture.
- **Statement 2 is incorrect:** The **Amber Box** under the Agreement of Agriculture provides for a certain threshold limit of subsidies that can be provided by both developed and developing countries as a percentage of their production. The developed countries are entitled to 5% subsidy under this while the same for the developed countries is 10%.
- **Statement 3 is correct:** The **Nairobi Package of 2015** extended the duration of the Peace

Clause. The peace clause was introduced at **Bali (2013)** as a temporary measure, which was extended in Nairobi and further extended to indefinite period of time in the Buenos Aires Summit in 2017 as there is yet no consensus between the developed and developing countries on the issue of food subsidy.

Q.44) Ans: C

Exp:

- **Option C is correct:** The **Special Safeguard Mechanism** came into existence in the **Bali summit, 2013**. The Nairobi summit not only extended the Peace clause but also provided for the immediate end of export subsidies provided by the developed countries to its exporters in agricultural exports. It introduced a **Special Safeguard Mechanism** that seeks to protect the local farmers of a developing country. Under this arrangement, an importing developing country can impose tariffs and taxes on the sudden surge of exports from the developed countries in the agricultural exports. Besides, the Nairobi Package also stressed on the technical reforms needed to boost the exports of the Least Developed Countries (LDCs).

Q.45) Ans: C

Exp:

- **Option C is correct:** The **Foreign Currency Non-Residents or FCNR accounts** are a part of the Capital Account and are deposited in the Indian banks. These deposits act as liability to the banks for which they need to pay the interests. The **tightening or decreasing the threshold of External Commercial Borrowings** causes lesser borrowings of the corporates which in turn



decreases the external debt of the country. The external debt of a country is in the form of foreign currencies and also includes the SDRs of the IMF. Hence, **greater SDR receipts would increase the external debt of the country.** SDRs are deposits with the IMF on which an interest is charged. **Appreciation of rupee** increases the external debt as the country's external debt is raised both in terms of dollars (approx. 50%) and rupees (approx. 35%) as per the RBI data. The appreciated rupee can then accommodate greater quantities of dollars which is reflected in the increased external debt when denominated in dollars. **Decreasing subsidies** on any sector, export or food, provides more money at the hands of the government which in turn would reduce its borrowing needs.

Q.46) Ans: B

Exp:

- **Statement 1 is incorrect:** **Regional Comprehensive Economic Partnership** is a proposed free trade agreement between 10 countries of the ASEAN and its six Free-Trade partners including India, China, Australia, Japan, New Zealand, and South Korea. The aim of RCEP or any FTA is to reduce the tariff and the non-tariff barriers amongst each other by charging lower reduced rates to boost trade and economic indicators. It does not mean charging no tariffs rather aims at charging the reduced common rates to all parties.
- **Statement 2 is correct:** India has backed out of the negotiations with RCEP citing its huge trade deficit with the RCEP countries, which were likely to increase post the signing of the RCEP. India's current trade deficit with the RCEP countries stood at around 100 billion USD of which a little over 50% was with China alone.

Q.47) Ans: B

Exp:

- **Statement 1 is correct:** As per the observations made at the Economic Survey 2020-2021, the signing of Free Trade Agreements by India has indeed improved the situation of India's exports in the share of global trade.
- **Statement 2 is incorrect:** **Rules of Origin** applies to the Free Trade Agreement partners as well. Hence, Rules of Origin forms a part of the Free Trade Agreements. It aims to prevent a Free trade partner from dumping the goods originated from a third country into India under the garb of its FTA with India. Hence, it ensures that for an imported good to be subjected to the benefits of Free Trade Agreement must necessarily contain some percentage of value addition from the exporting country.
- **Statement 3 is incorrect:** **Special 301** report of the United States deals with the Intellectual Property Rights issue and not with the issue of currency manipulations. A country is placed by the USA in its priority or priority watch lists, etc. depending on the harm it is causing to the patents of the USA.

Q.48) Ans: A

Exp:

- **Statement 1 is correct:** **USA** is currently the largest trading partner of India from the 2018-19 and India maintains a trade surplus with USA. China is the second largest trading partner of India and India maintains a trade deficit with China.
- **Statement 2 is incorrect:** **Bound tariff rates** in the WTO is the commitment by an importing country to reduce the tariff on its imports gradually. Bound tariff rate is the maximum tariff rate that can be charged on the country



with the Most favored Nation's status. Countries which have been accorded the Most favored nations status are charged with tariffs that are either less or same as the Bound tariff rates or the upper tariff limits.

Q.49) Ans: D

Exp:

- **Option D is correct:** Boosting India's exports is important to improve the situation of India in the global trade and to arrest the current account deficits. NITI Ayog's Export Preparedness Index talks of several measures that can be employed to boost the exports of the country. It focuses on the competitiveness of the states and aims at eliminating inter and intra-regional disparities to promote export growth. Hence, **subnational export promotion policies** that aim to induce the states to improve on their exports is a step in a positive direction. **Diversification of the exports** by adding more and more commodities to the list also helps in boosting exports. Charging higher GST rates on the domestic consumption would have a greater adverse impact on the domestic demand and may not necessarily increase exports. **Addressing inter-regional disparities** aims to promote the growth of exports by ensuring the landlocked states have better access to the transportation and other facilities. Ensuring mandatory government procurement would leave lesser goods available for the exports. Hence, may not increase the exports of the country.

Q.50) Ans: A

Exp:

- **Statement 1 is correct:** **Compulsory licensing** is a flexibility accorded under the TRIPS or the Trade Related Intellectual Property Rights of the WTO. It enables the government of a country to extend the license for the use of a patented product to a government agency or a third private party. It does not require the consent of the owner of the patent before according to the license.
- **Statement 2 is correct:** **Patent Pooling** is a situation where the two or more than patent holders come together to share the license of the patent with a third party or with one another. This concept gained wide prominence after the emergence of COVID pandemic to allow more innovation in the domain of public health.
- **Statement 3 is incorrect:** The TRIPS agreement was negotiated at the WTO during the Uruguay rounds in 1995. A country party to the WTO has to mandatorily comply with the TRIPS Agreement. It covers multiple areas for the protection of Intellectual Property Rights and is in line with the **Paris** (for the protection of Intellectual property) and the **Berne convention** (for the protection of Artistic and Literary works) of the **World Intellectual Property Rights Organization.**

Source:

Q.51) Ans: A

Exp:

- **Statement 1 is incorrect:** It is the responsibility of the exporters to provide the Certificate of Origins for their goods. In the certificate, there needs to be a mention of the **Nationality, contents, and compliance** with the customs and trade requirements.
- **Statement 2 is correct:** **Certificates of Origin** are of two types either of **Non preferential**



rules of origin or the **preferential rules of origin**. In case of non-preferential types, the certificate deals with the countries with which there exists no preferential trade agreements. Preferential types deal with the countries with which there is a reciprocal or non reciprocal preferential trade agreement. India's Customs (Administration of Rules of Origin under Trade Agreement) Rules, 2020 covers the imports where there is a claim of a preferential duty for imports.

Source:

https://www.fieo.org/view_section.php%3Fid%3D0,583 ; [https://www.cbic.gov.in/resources/htdocs-cbec/customs/cs-act/formatted-htmls/RevisedCus\(AdminofRules\)Rules2020.pdf](https://www.cbic.gov.in/resources/htdocs-cbec/customs/cs-act/formatted-htmls/RevisedCus(AdminofRules)Rules2020.pdf)

Q.52) Ans: B

Exp:

- **Option B is correct:** The **United Nations** was formed in October 1945 to ensure the peace and security of the world and to foster friendly relations and cooperation among the member states. The **Bretton Woods conference** was held in July 1945 which proposed the creation of three international institutions to promote peaceful trade. India was a participant of this conference. **India became independent** from the rule of the Britishers on **15 August, 1947**. The **General Agreement on Trade and Tariffs** was organized in **1948**. Hence, the correct chronological order is: Bretton Woods conference, formation of the United Nations, independence of India, and the General Agreement of Trade and Tariffs.

Q.53) Ans: C

Exp:

Option C is correct

A secondary market is a platform wherein the shares of companies are traded among investors.

Examples of fixed income securities are – debentures, bonds, and preference shares.

Examples of variable income instruments are – equity and derivatives.

Reference: Ramesh Singh

Q.54) Ans: C

Exp:

Statement 1 is incorrect: The regulator of Indian stock market, set up under the Security and Exchange Board of India Act, 1992 (as a non-statutory body set on 12 April, 1988 through a government resolution and given Statutory Powers on 30 January 1992 through the SEBI Act, 1992

Statement 2 is correct: Function of SEBI :Registering and stock exchanges, **merchant banks**, mutual funds, underwriters, registrars to the issues, **brokers**, sub-brokers, transfer agents and others.

Statement 3 is correct:SEBI comes under the jurisdiction of the **ministry of finance**.

Reference: Ramesh Singh

Q.55) Ans: A

Exp:

Statement 1 is correct: Gold ETF, or Exchange Traded Fund, is a commodity-based Mutual Fund that invests in assets like gold. These exchange-traded funds perform like individual stocks and are traded similarly on the stock exchange.

Exchange-traded funds represent assets, in this case, physical gold, both in dematerialised and paper form.



Tax benefits – Other than capital gains tax, gold exchange traded funds **do not attract VAT**, Securities Transaction Tax or Value Added Taxes, allowing an individual to save taxes on their investment.

Investing in physical gold can make an individual liable to pay wealth taxes.

Statement 2 is incorrect: Increase in investment in gold ETF will decrease the current account deficit as gold imports will reduce.

Reference: Ramesh Singh

Q.56) Ans: D

Exp:

Option D is correct

CDS is a **credit derivative** that can be used to **transfer credit risk** from the investor exposed to the risk (called protection buyer) to an investor willing to take risk (called protection seller).

Through a CDS, the buyer can avoid the consequences of a borrower's default by shifting some or all that risk onto an insurance company or other CDS seller in exchange for a fee. In this way, the buyer of a credit default swap receives credit protection, while the seller of the swap guarantees the creditworthiness of the debt security.

Q.57) Ans: C

Exp:

Statement 1 is correct: A Participatory Note (PN or P-Note) in essence, is a derivative instrument issued in foreign jurisdictions, by a SEBI registered FII, against Indian securities—the Indian security instrument may be equity, debt, derivatives or may even be an index.

Statement 2 is incorrect: The investor in PN **does not own the underlying Indian security**, which is held by the FII who issues the PN.

Statement 3 is correct: The PN holder also **does not enjoy any voting rights** in relation to security/shares referenced by the PN.

Reference : Ramesh Singh

Q.58) Ans: A

Exp:

Statement 1 is incorrect: Scrip Share: A share given to the **existing shareholders** without any charge—also known as bonus share.

Statement 2 is correct: Sweat Share :A share given to the **employees of the company** without any charge.

Statement 3 is correct: Futures :A trading allowed in shares where a future price is quoted for the shares and the payment and delivery takes place on the predetermined dates.

Reference : Ramesh Singh

Q.59) Ans: C

Exp:

- **Statement 1 is correct:** Bharat Bond ETF is the **first corporate bond ETF in India**. It aims to create an additional source of funding for Central Public Sector Undertakings (CPSUs) Central Public Sector Enterprises (CPSEs), Central Public Financial Institutions (CPFIs) and other Government organizations to meet their borrowing requirements, apart from bank financing. An Exchange Traded Fund (ETF) listed on NSE, which invests your money in public sector bonds. **Lowest unit** of it is just **Rs1000/-** so that even retail investors can invest. Bond ETF will provide safety, Liquidity (tradability on exchange) and predictable tax efficient returns.
- **Statement 2 is correct:** Bharat 22 exchange traded fund includes under one roof **22 blue chips** like IOC, ONGC, SBI and partially in ITC, Larsen & Toubro, Axis Bank which are held by it



through the **Specific Undertaking of the Unit Trust of India (SUUTI)** (SEBI Registered mutual fund). Bharat 22 ETF is managed by **ICICI Prudential Mutual Fund**. It was Launched with the expectation of increasing the process of **disinvestment**. Both anchor and non-anchor investors can invest in Bharat 22 ETF.

Extra Edge by Only IAS

About Exchange Traded Funds:

- ETFs are index funds that are listed and traded on stock exchanges just like regular shares.
- They are a basket of stocks with assigned weights that reflect the composition of an index.
- The ETFs trading value is based on the **Net Asset Value (NAV)** of the underlying stocks that it represents.
- They enable investors to gain broad exposure to entire stock markets in different countries and specific sectors with relative ease, on a real-time basis and at a lower cost than many other forms of investing.
- The ETF is aimed at helping speed up the government's disinvestment programme.

- It is also a **quasi-legislative** and **quasi-judicial body** which can draft regulations, conduct inquiries, pass rulings and impose penalties.
- **Composition:**

The SEBI Board shall consist of the following nine (9) members, namely:

- A **Chairman**. The Chairman is to be nominated by the Central Government.
- Two members from amongst the officials of the Ministry of the Central Government dealing with finance and administration of the Companies Act 2013;
- One member from amongst the officials of the **Reserve Bank of India**;
- Five other members of whom at least three shall be whole-time members, to be appointed by the Central Government.

Functions of SEBI

- **Reviewing the market operations**, organizational structure and administrative control of the stock exchanges.
- Promoting efficient services by brokers by registration and **regulation of working of market intermediaries** such as merchant bankers, portfolio managers, stock brokers etc.
- To overlook the registration and **regulation of Mutual Funds**, Venture Capital Funds and Collective Investment Schemes.
- To promote and **regulate Self-Regulatory Organizations**.
- Ensure fair practices by companies and prohibiting fraudulent and unfair trade practices in the securities market.
- **Prohibition of Insider Trading**.
- To educate and train the investors thereby protecting investors.
- To **conduct inspections and inquiries**
- Conducting research to perform the above functions

Reference:

[Cabinet okays bond ETFs - The Hindu](#)

Q.60) Ans: B

Exp:

About The Securities and Exchange Board of India (SEBI)

- SEBI is a **statutory body** established on April 12, 1992 in accordance with the provisions of the **Securities and Exchange Board of India Act, 1992**.



Reference:

[Securities and Exchange Board of India - Wikipedia](#)

Q.61) Ans: B

Exp:

- **Statement 1 is correct:** A panel was set up by SEBI in 2019 under the Chairmanship of **Ishaat Hussain**, Director at SBI Foundation, to suggest possible structures and regulations for creating a Social Stock Exchange, to facilitate listing and fund-raising by social enterprises as well as voluntary organisations. Social Stock Exchange is a platform that helps organisations working for social welfare to raise capital via debt, equity and mutual funds. It is regulated by SEBI. The aim is to raise funds to help organizations working for social well-being.
- **Statement 2 is correct:** The Social Sector enterprises can raise funds by listing **Zero Coupon Zero Principal Bonds**, development impact bonds, social impact funds with 100% grants-in grants out provision, and donations by investors through mutual funds.
- **Statement 3 is incorrect:** SSE is to be regulated by SEBI that comes under the Finance ministry. Social enterprises can engage in activities such as:
 - Eradicating hunger, poverty, malnutrition and inequality;
 - promoting health care and sanitation;
 - Promoting education, employability and livelihoods.
 - Promoting gender equality,
 - Ensuring environmental sustainability, addressing climate change
 - Promoting livelihoods for rural and urban poor,
 - Slum area development, affordable housing
- **Statement 4 is incorrect:** Both For Profit Enterprise (FPE) and Not for Profit

Organisation (NPO) will be eligible to tap the SSE if they are able to show their primary goals are social intent and impact. The entities listed on SSE will have to disclose their social impact report on an annual basis covering aspects such as “strategic intent and planning, approach, impact score card”.

Reference:

[SEBI technical group report: 'Political, religious, trade bodies not allowed on social bourses' | Business News, The Indian Express](#)

Q.62) Ans: C

Exp:

- **Statement 1 is correct:** It is a debt instrument issued by an Indian entity in foreign markets to raise money, in Indian currency, instead of dollars or local denomination. They are the **rupee-denominated bonds** and are a source of debt financing for the public and private sector. The major objectives of Masala Bonds are to fund infrastructure projects, ignite internal growth and internationalise the Indian rupee.
- **Statement 2 is incorrect:** Masala Bonds are issued by International Finance Corporation, which is an arm of the **World Bank**. In 2019, Kerala became the first Indian state to issue Masala Bonds worth Rs. 2,150 crore on the London Stock Exchange. State-owned Kerala Infrastructure Investment Fund Board (KIIFB) had issued the bonds to raise funds in the overseas market
- **Statement 3 is correct:** These bonds can only be issued to a resident of such a country which is a member of the **Financial Action Task Force**. Also, the security market regulator of the country must be a member of the **International Organisation of Securities Commission**. These bonds can also be subscribed by regional and



multilateral financial institutions where India is a member country.

Reference:

[Explained: What are Masala Bonds, where can these be issued | Explained News, The Indian Express](#)

- Facilitates digital transactions through the DEMAT account.
- The code is also helpful in preventing counterfeiting and forgery.

Reference:

[Your Money: Identifying market instruments via ISIN code - The Financial Express](#)

Q.63) Ans: C

Exp:

- **Statement 1 is correct:** ISIN is a unique **12-digit alphanumeric code** that uniquely identifies a specific security like stocks and bonds. An ISIN is not the same as the ticker symbol, which identifies the stock at the exchange level. The ISIN is a unique number assigned to a security that is universally recognizable. ISINs are used for numerous reasons including clearing and settlement. The numbers ensure a consistent format so that holdings of institutional investors can be tracked consistently across markets worldwide
- **Statement 2 is incorrect:** The **National Numbering Agency (NNA)** – a country-specific establishment – is responsible for allocating ISINs for all the securities issued in the country. In India, **National Securities Depository Limited (NSDL)** issues ISIN for various securities, as assigned by the Securities and Exchange Board of India (SEBI). For government **securities**, the allotment of the ISIN code is regulated by the **Reserve Bank of India (RBI)**. The **NSDL** was established in August 1996, under the aegis of the **Depositories Act, 1996**.
- **Statement 3 is correct:** International Securities Identification Number is useful in
 - Preventing mistakes in buying/selling shares/bonds of companies with similar sounding
 - names.

Q.64) Ans: C

Exp:

- **Statement 1 is incorrect:** Financial Stability and Development Council is a non-statutory apex council under the Ministry of Finance constituted by the Executive Order in 2010. The **Raghuram Rajan committee (2008)** on financial sector reforms first proposed the creation of FSDC.
- **Statement 2 is incorrect:** The **Chairman** of the Council is the **Union finance minister** and its **members** include
 - The heads of financial sector Regulators (RBI, SEBI, PFRDA, IRDA),
 - Chairperson of Insolvency and Bankruptcy Board of India (IBBI),
 - Chief Economic Advisor
 - Secretaries from the ministry of finance, ministry of Information Technology and ministry of Corporate Affairs.
 - The Council can also invite experts to its meeting if required.
- **Statement 3 is correct:** The functions of FSDC are:
 - To **strengthen and institutionalize the mechanism for maintaining financial stability**, enhancing inter-regulatory coordination and promoting financial sector development.
 - To monitor **macro-prudential supervision of the economy**. It assesses



the functioning of the large financial conglomerates.

- Without prejudice to the autonomy of regulators, the Council shall also deal with issues relating to:
 - Financial stability
 - Financial sector development
 - Inter-regulatory coordination
 - Financial literacy
 - Financial Inclusion
 - Macro prudential supervision of the economy including the functioning of large financial conglomerates.
 - Coordinating India's international interface with financial sector bodies like Financial Action Task Force (FATF), Financial Stability Board (FSB), and any such body as may be decided by the Finance Minister from time to time.
 - Any other matter relating to the financial sector stability and development referred to by a member/Chairperson and considered prudent by the Council/Chairperson.

Reference:

[FSDC asks regulators to keep steady vigil on financial sector - The Hindu](#)

Q.65) Ans: B

Exp:

- **Statement 1 is correct:** As per "The Deposit Insurance and Credit Guarantee Corporation (DICGC) Act 1961", DICGC must register **all commercial banks** (scheduled and non-scheduled both) and Urban Cooperative banks (UCB) and State and District Central Cooperative Banks (StCB/DCCB) as an insured bank.
- **Statement 2 and statement 3 is incorrect:** Every insured bank is liable to pay premium to DICGC as may be notified by DICGC after the approval of RBI. But the premium shall not

exceed fifteen paise per annum for every hundred rupees of the total amount of the deposits in that bank. Which means premium has been capped under the DICGC Act. As per the rules, **premium cost is required to be borne by the bank themselves** and cannot be passed on to depositors.

- Since the insurance cover has been increased from the present Rs. 1 lakh per depositor per bank to Rs. 5 lakh per depositor per bank, the insurance premium has also been increased from presently **10 paise per Rs. 100 of deposit** to 12 paise per Rs. 100 of deposit.
- Deposits of **foreign governments**, deposits of central and state governments, and inter-bank deposits are not covered/insured.

Reference:

<https://m.rbi.org.in/scripts/FAQView.aspx?Id=64>
<https://prsindia.org/billtrack/the-deposit-insurance-and-credit-guarantee-corporation-amendment-bill-2021>

Q.66) Ans: D

Exp:

Non Banking Financial Companies:

- NBFCs borrow from banks and then lend. They also issue bonds in financial markets to raise money and then this money then lends at a higher interest rate. NBFCs also borrow from abroad through debt financing (called ECB). Mutual funds also invest in NBFCs which means, NBFCs issue debt papers to mutual funds and then this money they lend.
- But, the main wholesale funding sources of the NBFCs comprise mainly of:
 - **Banks** (primarily via term loans and rest through non-convertible debentures and commercial paper) and
 - **Debt mutual funds** (via non-convertible debentures and commercial paper).



- **Debentures** are long-term unsecured debt financial instruments (they are similar to bonds in functioning). Some debentures have a feature of convertibility into shares after a certain point of time. The debentures which can't be converted into shares or equities are called non-convertible debentures and earn a higher interest rate.
- **Commercial Paper (CP)** is an unsecured money market debt instrument issued in the form of a promissory note for less than one year.

- **Statement 3 is correct:** National Insurance Company Limited is India's **Oldest General Insurance Company**. It was incorporated in Kolkata, West Bengal on December 5, 1906 to fulfil the nationalist aspiration for Swaraj. 66 years later, after passing of the **General Insurance Business Nationalisation Act in 1972**, it was merged along with 21 foreign and 11 Indian companies to form National insurance Company Limited, one of the four subsidiaries of the General Insurance Corporation of India, fully owned by the Government of India.

Reference: <https://registernbfc.in/funding-in-nbfc/>

Reference:

<https://nationalinsurance.nic.co.in/en/about-us/company-profile>

<https://www.livemint.com/companies/news/how-lic-policyholders-can-update-their-pan-to-participate-in-india-s-biggest-ipo-11638408931313.html>

Q.67) Ans: C

Exp:

- **Statement 1 is correct:** Insurance Regulatory Development Authority (IRDA) is a **statutory body** set up by the IRDA Act, 1999. It is an **autonomous and apex body** which has the responsibility to regulate and control the Insurance sector in India. Insurance Regulatory Development Authority (IRDA) was established after the recommendations of **Malhotra Committee report of 1994**. The Insurance Regulatory and Development Authority (IRDA) Act, 1991 was enacted and the IRDA received the status of a statutory body in 2000 by the Indian Parliament.
- **Statement 2 is incorrect:** LIC has been running advertisements calling upon policyholders to update their **Permanent Account Number (PAN)** on its website. As per the proposed plan, up to **10 percent of the LIC IPO issue size** would be reserved for policyholders. The government has already brought in required legislative amendments in the LIC Act for the proposed IPO through the **Finance Act 2022**. In her Budget speech in February this year, Finance Minister **Nirmala Sitharaman** said the IPO of LIC would be floated in 2021-22.

Q.68) Ans: A

Exp:

- **Statement 1 is correct:** Commercial Paper (CP) is yet another money market instrument in India, which was first introduced in 1990. Commercial Paper is an **unsecured money market instrument** issued in the form of a **promissory note**. Commercial Paper is issued at a **discount to face value** as may be determined by the issuer. The difference between issue price and face value is return. Further, CPs are traded in the OTC markets.
- **Statement 2 is incorrect:** Corporate, Primary dealers (PDs), and the all India financial institutions (FIs) that have been permitted to raise short term resources **fixed by Reserve bank of india** are eligible to issue CP. To be eligible to issue Commercial Paper, the Corporate need to have a tangible net worth of minimum Rs. 4 Crore. Commercial paper can be issued for maturities between a minimum of 7



days and a maximum of up to one year from the date of issue. It is typically issued by a large bank or corporation to cover short term receivable and meet short term financial obligations.

Reference:

<https://m.rbi.org.in/scripts/NotificationUser.aspx?Id=200&Mode=0>

Q.69) Ans: D

Exp:

Priority sector lending:

- Lending by a **commercial bank** for certain sectors which are identified as ' **Priority Sector**' by a **Central Bank (Reserve Bank of India)** is called priority sector lending.
- To extent of shortfall in the achievement of target, banks may be required to invest in **Rural Infrastructure Development Fund established with NABARD** and other fund with NABARD small Industries Development Bank of india (SIDBI) or Micro Units Development Refinance Agency Bank (MUDRA), as a decided by the RBI time to time.
- Priority sector Lending (PSL) should constitute **40 percent of adjusted net bank credit ANBC or Credit Equivalent Amount of Off- balance sheet exposure**, whichever is higher.
- It is applicable on domestic scheduled banks excluding **Small Finance Banks, Regional Rural banks, also to foreign Banks with more than 20 branches.**
- **Priority sector includes the following categories:** 1) Education 2) Renewable energy 3) Housing 4) Export Credit 5) Micro, Small and medium enterprises 6) Agriculture 7) weaker section 8) others.

Reference:

https://m.rbi.org.in/scripts/BS_ViewMasDirections.aspx?id=11959

Q.70) Ans: B

Exp:

- **Statement 1 is incorrect:** The framework for regulating derivatives transactions is provided in the various Acts of Government of India such as Securities Contracts (Regulating) Act, 1956, Reserve Bank of India Act, 1934, forward Contract (Regulating) Act, 1952). **Derivative instruments in India** are regulated by **Reserve Bank of India, securities, and Exchange Board of India (SEBI) and Forward Market Commission (FMC)**. Broadly, RBI is empowered to regulate the interest rate derivatives, foreign currency service derivatives and credit derivatives. While SEBI regulates other derivatives of equity, commodity and stock indexes.
- **Statement 2 is correct:** A **Derivative** is a financial security with a value **that is reliant upon or derived from, an underlying asset or group of assets-** a benchmark. The derivative itself is between two or more parties and the derivative derives its price from fluctuations in the underlying asset. Four most common examples of derivative instruments are **Forwards, Futures, Options and Swaps.**

Reference:

<https://www.bseindia.com/markets/Derivatives/Derivatives/FAQsBasicsofDerivatives.aspx>

Q.71) Ans: C

Exp:

About Geospatial Energy Map of India:

- **NITI Aayog in collaboration with Indian Space Research Organisation (ISRO)** has developed a comprehensive Geographic Information System (GIS) Energy Map of India with the support of Energy Ministries of Government of India.
- The GIS map provides a holistic picture of all energy resources of the country which enables visualisation of energy installations such as



conventional power plants, oil and gas wells, petroleum refineries, coal fields and coal blocks, district-wise data on renewable energy power plants and renewable energy resource potential, etc through 27 thematic layers.

- The map attempts to identify and locate **primary and secondary sources of energy** and their **transportation/transmission** networks to provide a comprehensive view of energy **production and distribution** in a country.
- It is a unique effort aimed at integrating energy data scattered across multiple organizations and to present it in a consolidated, visually appealing graphical manner.

Reference:

- <https://pib.gov.in/PressReleaselframePage.aspx?PRID=1764738>

Inspiration: Technologies in news

Q.72) Ans: D

Exp:

S-400 Triumf

- **S-400 is a mobile, surface-to-air missile system (SAM)** designed by **Russia**. The missile can destroy airborne targets within the range of 250 km and is also capable of destroying fast-moving targets such as fighter aircraft. The system can engage **all types of aerial targets** including aircraft, unmanned aerial vehicles (UAV) and ballistic and cruise missiles within the range of **400km, at an altitude of up to 30km**.
- It is capable of firing three types of missiles to create a layered defence. It can track 100 airborne targets and engage six of them simultaneously. It is the most dangerous operationally deployed **modern long-range SAM (MLR SAM)** in the world, considered much ahead of the US-developed **Terminal High Altitude Area Defense system (THAAD)**.
- India is concerned that the U.S would proceed with **Countering America's Adversaries through Sanctions Act (CAATSA)** sanctions against India over the S-400 purchase from Russia. From

India's point of view, **China is also buying the system**. In 2015, China signed an agreement with Russia to purchase six battalions of the system. Its delivery began in January 2018.

- The **Countering America's Adversaries through Sanctions Act (CAATSA)** is a United States federal law that imposed sanctions on **Iran, North Korea, and Russia**. It includes sanctions against countries that engage in significant transactions with Russia's defense and intelligence sectors. **India could face US sanctions** for purchasing high-value military defense items, in particular, state-of-the-art S-400 Triumf missile defense system, from Russia under the act.

Reference:

<https://www.thehindu.com/news/national/russia-starts-delivery-of-s-400-missile-systems-to-india-says-russian-official/article37487108.ece>

Q.73) Ans: B

Exp:

Molecular Sensors

- Recently, two United States-based scientists, **David Julius and Ardem Patapoutian**, have been awarded the 2021 Nobel Prize for Physiology/Medicine for their discoveries of receptors for temperature and touch.
- They discovered the **molecular sensors in the human body** that are sensitive to heat, and to mechanical pressure, and make us "feel" hot or cold, or the touch of a sharp object on our skin. This knowledge is being used to **develop treatments for a wide range of disease conditions, including chronic pain**.
- A biological sensor is a critical part of a **human cell's control system** that is able to trigger a number of cell activities. A type of sensor known as the "**gating ring**" can open a channel that allows a flow of potassium ions through the cell's wall or membrane- similar to the way a subway turnstile allows people into a station.



This flow of ions, in turn, is involved in the **regulation of crucial bodily activities like blood pressure, insulin secretion, control of chronic disease and brain signaling.**

- **Davis Julius-** He discovered **TRPV1, a heat-sensing receptor**. His findings on the skin's sense of temperature was based on how certain cells react to capsaicin, the molecule that makes chili pepper spicy, by simulating a false sensation of heat.
- **Ardem Patapoutian-** He discovered **two mechanosensitive ion channels known as the Piezo channels**. Piezo1 is named after the Greek word for pressure, 'piesi'. He is credited for finding the cellular mechanism and the underlying gene that translates a mechanical force on our skin into an electric nerve signal.

Reference:

<https://www.thehindu.com/opinion/editorial/sensing-heat-the-hindu-editorial-on-the-2021-nobel-prize-for-physiology-or-medicine/article36867229.ece>

Q.74) Ans: B

Exp:

- **Statement 1 is incorrect:** Indo-Pacific Regional Dialogue (IPRD) is the **apex international annual conference of the Indian Navy**. The dialogue was first conducted in 2018. To review both opportunities and challenges that arise within the Indo-Pacific. The National Maritime Foundation is the navy's knowledge partner and chief organiser of each edition of the dialogue. The theme for 2021- "Evolution in Maritime Strategy during the 21st Century: Imperatives, Challenges, and, Way Ahead".
- **Statement 2 is correct:** IEA is an **autonomous intergovernmental organization**. Established in 1974 as per the framework of the OECD. Its mission is guided by four main areas of focus: energy security, economic development,

environmental awareness and engagement worldwide. Headquarters (Secretariat)- Paris, France. India became an Associate member of IEA in March 2017 but it was in engagement with IEA long before its association with the organization.

- **Statement 3 is correct:** Renewable Energy Certificate is a **market-based instrument to promote renewable energy** and facilitate the compliance of **renewable purchase obligations (RPO)**. It is aimed at addressing the mismatch between the availability of RE resources in the state and the requirement of the obligated entities to meet the renewable purchase obligation (RPO).
- **Statement 4 is incorrect:** Jal Jeevan Mission envisages supply of 55 litres of water per person per day to every rural household through **Functional Household Tap Connections (FHTC)** by 2024. It is under the **Ministry of Jal Shakti**. It was **launched in 2019**. The mission ensures functionality of existing water supply systems and water connections; water quality monitoring and testing as well as sustainable agriculture. It also ensures conjunctive use of conserved water; drinking water source augmentation, drinking water supply system, grey water treatment and its reuse.

Reference:

<https://pib.gov.in/PressReleaseIframePage.aspx?PRID=1766500>

<https://www.irena.org/>

https://jaljeevanmission.gov.in/about_jjm

Q.75) Ans: D

Exp:

International Solar Alliance:

- International Solar Alliance is an **Indian initiative** that was launched by the Prime Minister of India and the President of France on 30th November 2015 in **Paris, France** on the side-lines of the **Conference of the Parties**



(COP-21), with 121 solar resource-rich countries lying fully or partially between the tropic of Cancer and tropic of Capricorn as prospective members.

- **Objective:** To collectively address key common challenges to the scaling up of **solar energy in ISA member countries**.
- **Members:** Till now, 87 countries have signed the Framework Agreement of the ISA including **the United States, United Kingdom, United Arab Emirates, Suriname** and of these 67 have deposited their instruments of ratification. Nicaragua, a Central American country is the 87th and the latest country to sign the agreement.
- The Government of India has allotted 5 acres of land to the ISA in National Institute of Solar Energy (NISE) campus, Gurugram and has released a sum of Rs. 160 crore for creating a corpus fund, building infrastructure and meeting day to day recurring expenditure of the ISA up to the year 2021-22.

Reference:

<https://isolaralliance.org/about/background>

Q.76) Ans: B

Exp:

- **Statement 1 correct:** The MITRA park aims to integrate the entire textile value chain from spinning, weaving, processing/dyeing, printing to garment manufacturing at one location. It is inspired by the **5F vision of Hon'ble Prime Minister –Farm to Fibre to Factory to Fashion to Foreign**. Developed by a Special Purpose Vehicle which will be owned by the Central and State Government and in a Public Private Partnership (PPP) Mode.
- **Statement 2 is incorrect:** **National Digital Livestock Mission** is a digital platform developed jointly by the Department of Animal Husbandry and **Dairying (DAHD) and NDDB** on the foundation of the existing Information

Network for Animal Productivity and Health (INAPH). The aim is to create a **farmer-centric, technology-enabled ecosystem** where the farmers are able to realize better income through livestock activities with the right information.

- Through the National Digital Livestock Mission, the farmers will be able to effortlessly access the markets, irrespective of their location or holdings through this digital platform as a wide range of stakeholders will be connected in this ecosystem.
- **Statement 3 is correct:** **The National Dairy Development Board is a statutory body** and an institute of national importance, established by an act of the Indian Parliament in 1965. It was founded by Dr Verghese Kurien, often called '**India's milkman**'. The NDDB was created to boost, finance and support producer-owned and controlled organisations in the dairy industry.
- Headquartered at **Anand, Gujarat**. NDDB's efforts transformed India's rural economy by making dairying a viable and profitable economic activity for millions of milk producers while addressing the country's need for self-sufficiency in milk production.

Reference:

https://www.business-standard.com/article/economy-policy/govt-notifies-setting-up-of-7-mega-textile-parks-under-pm-mitra-scheme-121102201268_1.html
<https://jaljeewanmission.gov.in/>

Q.77) Ans: D

Exp:

The Mangrove Ecosystem

- **Mangrove forests** make up one of the most productive and biologically diverse ecosystems on the planet. They grow in a variety of depths of salt water, their roots sticking up out of the mud, with fish, crustaceans and a host of other



species living between tree trunks. The remarkable traits of the mangrove ecosystem translate into a **wide variety of goods and services** that we benefit from. These play a critical role in supporting human well-being by delivering the necessities of life like food, shelter and livelihoods. At the same time mangroves reduce loss of **property and vulnerability of local communities**.

- Continuous loss of biodiversity is observed across the shorelines of settlement zones in Indian Sundarbans. This region harbours many rare and **threatened flora and fauna** which maintain the mangrove ecosystems' integrity and complexity. In Sundarbans, **conservation of shoreline mangroves to shrimp farms is very popular and it is the main source** of income for the local people. Small patches of mangroves are being lost gradually and quietly due to their indiscriminate destruction for either coastal development or short-term gains.
- Coastal mangrove habitats across the world are the preferred hub of coastal fisheries, aquaculture, pisciculture, shrimp farming, crab farming, all providing livelihoods to local people. Thus, the habitats of many species continue to be reclaimed for pisciculture, in spite of knowing that **mangrove destruction** could also be counter-productive.
- The **building of dykes** for the protection of coastal villages from tidal aggression/storm surges is another major cause that makes mangrove communities across the estuaries shoreline in the settlement regions of the Sundarbans, the most vulnerable targets of destruction.
- Instead of popularising shrimp farming, if more indigenous fishing activities were encouraged, we could protect both our coastal threatened biodiversity and at the same time provide livelihood options to the coastal dwellers.

[explains-rare-species-sundarbans-threatened-by-human-activities-7527840/](#)

Q.78) Ans: C

Exp:

- **Statement 1 is incorrect:** Red sanders (*Pterocarpus santalinus*) is endemic to South India. They are found in the Tropical Dry Deciduous forest of the Palakonda and Seshachalam hill ranges of Andhra Pradesh and also found in Kerala, Tamil Nadu and Karnataka. Red Sanders usually grow in the rocky, degraded and fallow lands with Red Soil and hot and dry climate.

Conservation Status -

- IUCN: Near Threatened.
- CITES: Appendix II.

It is known for its rich hue and therapeutic properties, and is high in demand across Asia, particularly in China and Japan, for cosmetics and medicinal products, wood-works and musical instruments.

- **Statement 2 is correct:** Mumba Eels are completely blind Freshwater fish species. Eel was named **Rakthamichthys mumba**. It is a new species of Hypogean eel (Teleostei: Synbranchidae). Unlike other species of its genus, the mumba lacks eyes, fins and scales, has jaws equal in forward extent, different gill apertures, crescentic-shaped cephalic. It is a **completely blind subterranean freshwater fish species**. Its body is pinkish-red with numerous blood vessels all over.
- **Statement 3 is incorrect:** Hydroponics is a type of horticulture, a subset of hydroculture and the art of gardening in water without soil. Geoponics is the method of growing plants in normal soil. Hydroponics (Latin word meaning 'working water') involves growing plants without soil, by using nutrient-rich solutions, oxygen, and water.
- **Statement 4 is correct:** The silvery gibbon, also known as the **Javan gibbon**, is a primate. They

Reference:

<https://indianexpress.com/article/explained/expert->

are found in **groups only, usually in a pair of two**. It is endemic to the **Indonesian island of Java**, where it inhabits undisturbed rainforests up to an altitude of 2,450 m. It helps in regenerating forest vegetation by dispersing seeds. There are around 4,000 Javan gibbons left. The Javan Gibbon wild population is only found in Java, Indonesia. It is not found in India (The hoolock gibbon is the only gibbon found in India). Conservation Status:

- IUCN: **Endangered**.
- CITES: Appendix I.
- Unfortunately, amid **climate change and human encroachment**, the **small pocket of forest** on the heavily populated island of Java as the habitat of the Javan gibbon is in grave danger of disappearing.

- **Habitat:** Dholes occupy a wide variety of climates and habitats, including dense forests, scrub, steppes, and alpine regions. They vary in colour from **charcoal grey to rust-red to sandy beige**, depending on their habitat. They are found in Western and Eastern Ghats, Central Indian landscape and North East India.
- **Conservation Status-**
 - **Schedule II** species under the Wildlife Protection Act, 1972.
 - **Endangered** by the International Union for Conservation (IUCN).
 - Under **Appendix II** of the Convention on International Trade in Endangered Species of Wild Fauna and Flora (CITES) list.
- **Threats** - Depletion of prey base, Habitat loss and transformation, Retaliatory killings due to livestock predation etc.

Reference:

Q.79) Ans: D

Exp:

About the Dhole



- **Dhole** is also known as the **Asiatic wild dog, red dog, and whistling dog**. It is about the size of a German shepherd, but looks more like a **long-legged fox**. Furthermore, it is a highly social animal, living in large clans without rigid dominance hierarchies and containing multiple breeding females. They are native to **Central, South, East Asia, and Southeast Asia**.
- **Ecological role:** Dholes play an important role as **apex predators** in forest ecosystems.

Reference:

<https://www.downtoearth.org.in/news/wildlife-biodiversity/conserving-india-s-dhole-population-study-earmarks-114-talukas-79636>

Q.80) Ans: A

Exp:

- **Statement 1 is correct:** **ABHYAS** - the **high speed expendable aerial target (HEAT)** was successfully flight-tested by defence research and Development Organisation (DRDO) from the Integrated Test Range (ITR), Chandipur off the coast of Bay of Bengal in Odisha. The **vehicle can be used as an aerial target for evaluation of various missile systems.** The performance of the target aircraft was monitored through telemetry and various tracking sensors including radars and electro optical tracking systems (EOTS). The current flight test is carried out as a part of development flight trials. Expressions of interest



for production of the vehicle have already been floated to Indian industries.

- **Statement 2 is incorrect:** ABHYAS is designed and developed by DRDO's aeronautical development establishment (ADE), Bengaluru. The air vehicle is launched using a twin under-slung booster which provides the initial acceleration to the vehicle. It is powered by a gas turbine engine to sustain a long endurance flight at subsonic speed. This indigenous target aircraft once developed, will meet the requirements of high speed expendable aerial targets for Indian armed forces.

Reference : <https://pib.gov.in/PressReleasePage.aspx?PRID=1765772>

Q.81) Ans: C

Exp:

India-China trade

- India's trade with China is set to cross the \$100 billion mark for the first time in 2021, with shipments hitting \$90 billion after three quarters, an almost 30% jump from pre-pandemic levels.
- **Statement 1 is correct:** India's biggest exports to China are iron ore, cotton, and other raw material-based commodities. Data from China's General administration of customs (GAC) showed two-way trade jumped 49% in the first nine months to \$90.37 billion. India imports from China surged 51.7% to \$68.5 billions, while India's exports rose 42.5% to \$21.9 billion.
- **Statement 2 is correct:** India imports mechanical and electrical machinery in large quantities, while imports of medical supplies have soared in the past two years.
- The growth in trade with India was among the fastest for China's major trading partner. While China's total trade rose 22.7% that of its biggest

trading partners, ASEAN, the EU and the U.S rose 21.1%, 20.5% and 24.9%, respectively.

Reference: <https://www.thehindu.com/business/Indias-trade-with-china-set-to-exceed-100-billion-in-2021/article36991136.ece>

Q.82) Ans: D

Exp:

Central Ground Water Authority

- **Central Ground Water Authority (CGWA)**, Ministry of Jal shakti, D/o Water Resources, River Development and Ganga Rejuvenation constituted under the **Environment (Protection) Act of 1986** vide Gazette notification has the mandate of **regulating ground water development and management in the country**. In 23 States/ Union Territories ground water development is being regulated by the Central Ground Water Authority. The remaining States/ Union Territories are regulating groundwater development through ground water legislation enacted by them or through Government Orders.
- **CGWA** has been regulating ground water development for its **sustainable management in the country** through measures such as issuing advisories, public notices, grant of No Objection Certificates (NOC) for ground water withdrawal. The Central Ground Water Authority has framed guidelines for grant of NOC for withdrawal of groundwater, which have been revised from time to time.
- Major activities being taken up by **Central GroundWater Authority** include **macro/micro-level groundwater management studies, exploratory drilling programme, monitoring of groundwater levels and water quality through a network of groundwater observation wells** comprising both large diameter open wells and purpose-built bore/tube wells (piezometers), implementation of demonstrative schemes for



artificial recharge and rainwater harvesting for recharge augmentation.

- **The Environment (Protection) Act (EPA)** was enacted in 1986 with the objective of providing the protection and improvement of the environment. It empowers the Central Government to establish authorities charged with the mandate of preventing environmental pollution in all its forms and to tackle specific environmental problems that are peculiar to different parts of the country. The Act is **one of the most comprehensive legislations** with a pretext to protect and improve the environment.

Reference: <http://cgwb.gov.in/aboutcgwb.html>

Q.83) Ans: D

Exp:

- **Statement 1 is incorrect:** The **Sovereign Gold Bond (SGB) scheme was launched in November 2015** with an objective to reduce the demand for physical gold and shift a part of the domestic savings - used for the purchase of gold - into financial savings. **Bonds can be used as collateral for loans**. The gold bonds come with a maturity period of eight years, with an option to exit the investment after the first five years. A fixed rate of 2.5% per annum is applicable on the scheme, payable semi-annually. The interest on Gold Bonds shall be taxable as per the provision of Income Tax Act, 1961.
- The Gold Bonds are issued as **Government of India Stock** under the Government Securities (GS) Act, 2006. These are issued by the **RBI on behalf of the Government of India**. Bonds are sold through Commercial banks, Stock Holding Corporation of India Limited (SHCIL), designated post offices and recognised stock exchanges viz., National Stock Exchange of India Limited and Bombay Stock Exchange, either directly or through agents.

- **Statement 2 is correct:** Gold bonds can be purchased in the **multiples of one unit**, up to certain thresholds for different investors. **Minimum permissible investment is 1 gram of gold for individuals**. The **upper limit for retail (individual) investors and HUFs is 4 kilograms (4,000 units)** each per financial year. For trusts and similar entities, an upper limit of 20 kilograms per financial year is applicable.
- **Statement 3 is incorrect:** The bonds are restricted for sale to **resident individuals, Hindu Undivided Families (HUFs), trusts, universities and charitable institutions** and not for **non resident Indian entities**. The **capital gains tax arising on redemption** of SGB to an individual has been exempted.
- This is a **long term investment** unlike physical gold which can be sold immediately. Sovereign gold bonds are listed on the exchange but the trading volumes are not high, therefore it will be difficult to exit before maturity.

Reference: <https://vikaspedia.in/social-welfare/financial-inclusion/swarnabharath>

Q.84) Ans: C

Exp:

- **Statement 1 is correct:** **Mahatma Gandhi National Fellowship programme** is a two-year-long fellowship programme conceived to create **opportunities for young, dynamic individuals to contribute to enhancing skill development at the grassroots**. The Programme seeks to combine classroom sessions by academic partner IIMs, with an **intensive field immersion** at the district level (District Immersion) to create credible plans and identify barriers in raising employment, economic output and promoting livelihoods in rural areas.
- **Statement 2 is correct:** Eligibility is that Fellows have to be in the **21-30 years age group**, have a graduation degree from a recognized university



and be **citizens of India**. Three years of work experience after secondary schooling in the social/non-profit sector with an interest in working in rural areas is preferred. However, individuals with no work experience and a strong motivation to work in this area may apply. Proficiency in the official language of the state of fieldwork will be mandatory.

- **MGNF Phase-I (Pilot):** Launched in 2019 with IIM Bangalore as Academic Partner. Under this, 69 Fellows are currently deployed in 69 districts across 6 States. **MGNF Phase-II (National Roll Out):** Being launched in October 2021 with 661 MGNFs who will be deployed across all districts of the country. 8 more IIMs have been boarded, taking the total to 9 IIMs.
- Recently, the government has launched the **phase-II of Mahatma Gandhi National Fellowship** under **SANKALP** (Skill Acquisition and Knowledge Awareness for Livelihood Promotion) programme.

Extra edge by Only IAS

SANKALP Programme:

- SANKALP, a Centrally sponsored scheme, is a World Bank loan assisted program, launched by the Ministry of Skill Development and Entrepreneurship in January 2018.
- SANKALP engages with District Skill Committees (DSCs) to effectively reduce the mismatch between the supply and demand of skilled manpower in the country, thereby creating decent opportunities for the youth to work and earn.

Reference:

https://m.timesofindia.com/home/education/news/govt-launches-phase-ii-of-mahatma-gandhi-national-fellowship/amp_articleshow/87260408.cms

Q.85) Ans: A

Exp:

Prani Mitra Award

- The **Union Environment Minister** released the vision plan (2021-2031) for Indian zoos by the **Central Zoo Authority (CZA)** to upgrade them to global standards and strengthen the Central Zoo Authority.
- As of today there are **more than 150** recognized zoos and rescue centres in the country that adhere to the guidelines and high standard of wildlife animals.
- **Prani Mitra Award:** Union Environment Minister gave away the Prani Mitra Award constituted by the Central Zoo Authority. These are given under 4 categories of outstanding contribution by zoo director/ curator, biologist/ educationists, veterinarian and the animal keeper/zoo frontier.
- The Central zoo Authority is a **statutory body** under the Ministry of Environment, Forest and Climate Change. It was constituted in 1992 under the **Wildlife (Protection) Act, 1972.**
- **Members:** It is chaired by the **Environment Minister** and has 10 members and a member-secretary.
- The main objective of the authority is to complement and strengthen the national effort in the conservation of rich biodiversity. The authority provides **recognition to zoos** and is also tasked with regulating the zoos across the country.

Reference:

<https://www.thehindu.com/news/national/tamil-nadu/blue-cross-co-founder-gets-prani-mitra-award/article33855969.ece>

Q.86) Ans: B

Exp:

The Black Sea



- **The Black Sea**, also known as the **Euxine Sea**, is one of the major water bodies and a famous inland sea of the world. This marginal sea of the Atlantic Ocean, located between **Eastern Europe and Western Asia**. It is Surrounded by the **Pontic, Caucasus, and Crimean Mountains** in the south, east and north respectively. The Black Sea is also connected to the Sea of **Azov** by the **Strait of Kerch**. The Turkish straits system - the Dardanelles, Bosphorus and Marmara Sea - forms a transitional zone between the Mediterranean and the Black Sea.
- Black Sea is supplied by major rivers, principally the **Danube, Dnieper, and Don**. The watersheds of many countries drain into the sea beyond the six that share its coast.
- **Bordering countries:** Russia, Ukraine, Georgia, Turkey, Bulgaria and Romania. There is a significant absence of oxygen in the water (anoxic waters).

Reference: <https://www.britannica.com/place/Black-Sea>

Q.87) Ans: D

Exp:

Amur Falcons

- Amur falcons, the world's **longest travelling raptors**, **start** travelling with the onset of winters. The Amur falcon is a small raptor of the **falcon family**. The raptors breed in

southeastern Siberia and northern China, and migrate in millions across India and then over the Indian Ocean to southern Africa before returning to **Mongolia and Siberia**.

- Their 22,000-kilometre migratory route is one of the longest amongst all avian species. They get their name from the **Amur River** that forms the border between Russia and China.
- **Doyang Lake in Nagaland** is better known as a stopover for the Amur falcons during their annual migration from their breeding grounds to warmer South Africa. Thus, Nagaland is also known as the **"Falcon Capital of the World,"**. Migrates west through India and across the Arabian Sea to Southern Africa. Feeds on dragonflies and insects.
- **Conservation Status-**
 - IUCN Status: **Least Concern**.
 - It is also protected under the Indian Wildlife Protection Act, 1972 and the Convention on Migratory Species(CMS) to which India is a signatory.

Reference:

<https://www.worldmigratorybirdday.org/2017/species/amur-falcon>

Q.88) Ans: B

Exp:

- **Statement 1 is correct:** The **"Kunming Declaration"** was adopted by over 100 countries in the ongoing virtual 15th meeting of the **Conference of the Parties (COP) to the United Nations Convention on Biological Diversity (UNCBD)**. It calls upon the parties to **"mainstream"** biodiversity protection in decision-making and recognise the importance of conservation in protecting human health. The theme of the COP-15 is "Ecological Civilization: Building a Shared Future for All Life on Earth". COP15 is being held to review the achievement and delivery of the CBD's **Strategic Plan for Biodiversity 2011-2020**. The Kunming



declaration expects signatory nations to synchronize Biodiversity plans with the three UN decades program which are on 'Sustainable Development', 'Ecosystem Restoration', Ecosystem Restoration.

- **Statement 2 is incorrect:** The UNFCCC, signed in 1992 at the **United Nations Conference on Environment and Development** also known as the **Earth Summit, the Rio Summit or the Rio Conference**. The UNFCCC entered into force on March 21, 1994, and has been **ratified by 197 countries**. The UNFCCC was established to work towards "**stabilisation of greenhouse gas concentrations in the atmosphere.**" COP members have been meeting every year since 1995 (**COP1 was held in 1995 in Berlin**). It laid out a list of responsibilities for the member states which included-
 - Formulating measures to **mitigate climate change**.
 - Cooperating in preparing for adaptation to the impact of climate change.
 - Promoting education, training and public awareness related to climate change.
- **Statement 3 is incorrect:** Recently The **UK hosted the COP 26 UN Climate Change Conference** from October 31 to November 12. The conference was held in the Scottish Event Campus in **Glasgow**. COP comes under the **United Nations Climate Change Framework Convention (UNFCCC)** which was formed in 1994. COP26 will work towards four goals :
 - **Secure global net-zero by mid-century and keep 1.5 degrees within reach.**
 - Adapt to protect communities and natural habitats.
 - **Mobilise finance:** To deliver on our first two goals, developed countries must make good on their promise to mobilise at least \$100bn in climate finance per year by 2020.
 - **'Finalise the Paris Rulebook':** Leaders will work together to frame a list of

detailed rules that will help fulfil the Paris Agreement.

Reference:

<https://www.thehindu.com/opinion/lead/the-carbon-markets-conundrum-at-cop26/article37098773.ece>

Q.89) Ans: A

Exp:

Xenotransplantation

- Recently New York surgeons have successfully transplanted a kidney from a genetically engineered pig into a brain-dead human. **Xenotransplantation or heterologous transplant** is the process of transplanting living cells, tissues or organs between different species. Such cells, tissues or organs are called **xenografts or xenotransplants**.
- **Observation:**
 - During the observation, the kidney began functioning and producing large amounts of urine within minutes of being connected to the person's blood vessels.
 - Creatinine, which is cleared from the blood by the **kidney, dropped from 1.9 to 0.8 demonstrating** that the kidney was functioning optimally.
 - If found compatible in the long run, this process of **Xenotransplantation could help provide an alternative** and additional supply of organs for people facing life-threatening diseases.
- The xenotransplantation involves **implanting modified animal embryos with human "induced pluripotent stem" (iPS) cells** that can be coaxed into forming the building blocks of any part of the body. The research involves generating animal **embryos — mice, rats or pigs** — that lack a particular organ such as a pancreas. The modified embryos are then



implanted with human iPS cells that can grow into the **missing pancreas**.

- The embryos would be transplanted into wombs where they could theoretically be carried to term with a **functioning human pancreas**. It is the **first step towards a future** where human organs for transplant could be grown inside animals.

Reference: <https://www.economist.com/science-and-technology/2021/10/20/a-pig-kidney-has-been-successfully-transplanted-into-a-human-for-the-first-time>

Q.90) Ans: B

Exp:

- **Statement 1 is correct:** Scheme Biotech KISAN was Launched in 2017. Biotech-KISAN is a **scientist-farmer partnership scheme launched by the Department of Biotechnology(DBT)**. Aim is to connect science laboratories with the farmers to find out innovative solutions and technologies to be applied at the farm level. Under this scheme, so far **146 Biotech-KISAN Hubs** have been established covering all 15 agroclimatic zones and 110 Aspirational Districts in the country.
- **Statement 2 is incorrect:** Recently, a report titled "Mapping India's Climate Vulnerability – A District-level Assessment" has been released by the **Council on Energy, Environment and Water (CEEW)** (not-for-profit policy research institution). The report has also launched the first-of-its-kind **Climate Vulnerability Index**. The index has analysed 640 districts in India and found that 463 of these are vulnerable to extreme floods, droughts and cyclones.
- According to the report, **More than 80% of Indians live in districts vulnerable to climate risks**. 17 of 20 people in the country are vulnerable to climate risks, out of which every

five Indians live in areas that are **extremely vulnerable**. More than 45% of these districts have undergone **"unsustainable landscape and infrastructure changes"**.

- **Statement 3 is incorrect:** Skills Acquisition and Knowledge Awareness for Livelihood (SANKALP) is an outcome-oriented programme of the Ministry of Skill Development & Entrepreneurship (MSDE) launched in January 2018 with a special focus on decentralised planning and quality improvement. It is a **Centrally Sponsored Scheme which is collaborated with the World Bank**.
- It aims to implement the mandate of the **National Skill Development Mission (NSDM)**. SANKALP engages with **District Skill Committees (DSCs)** to effectively reduce the mismatch between the supply and demand of skilled manpower in the country, thereby creating decent opportunities for the youth to work and earn.

Reference:

<https://pib.gov.in/PressReleasePage.aspx?PRID=1728507>

<https://www.ceew.in/publications/mapping-climate-change-vulnerability-index-of-india-a-district-level-assessment>

Q.91) Ans: B

Exp:





- **Statement 1 is incorrect:** Periyar River rises in the **Western Ghats** near the border with **Tamil Nadu state** and flows north a short distance to Periyar Lake. The river continues northwest, descending out of the mountains and onto the coastal plain, and turns west before emptying into the **Arabian Sea**. It is the **longest river in the state of Kerala**. It is one of the few perennial rivers in the region and provides drinking water for several major towns.
- **Statement 2 is correct:** Likha River is located in the **southern part of East Jaintia Hills of Meghalaya**. It receives water from the Lunar river (Wah Lunar) and small streams draining from the **Narpuh Reserve Forest** and the undulating hills of the area while flowing down.
- The river is mainly fed by **monsoon rain** and flows in the southwest direction and later takes a southern path after joining the Lunar river near the Khaddum village. The river passes via the Sonapur village and then into the **Surma valley** and ultimately ends up in the floodplains of Bangladesh.
- **Statement 3 is incorrect:** The **Canary archipelago** (group of islands) is located in the **Atlantic Ocean**, about 1300 km South of mainland Spain and 115 km West of the African coast (Morocco). The Canary Islands are a group of ocean island volcanoes located off the coast of western Africa that have been formed **by volcanic activity since around 20 million years ago**.
- The Canary archipelago comprises the **Spanish provinces of Las Palmas and Santa Cruz de Tenerife**. It includes 7 islands belonging to Spain, among which La Palma (in the North-West of the archipelago), Tenerife and Gran Canaria (central).

Q.92) Ans: A

Exp:

DLX1 gene

- Researchers at the IIT, Kanpur, have discovered a **particular gene (DLX1)**. DLX1 gene encodes a member of a **homeobox transcription factor** gene family similar to the Drosophila **distal-less gene**. The encoded protein is localized to the nucleus where it may function as a **transcriptional regulator** of signals from multiple TGF- β superfamily members.
- The encoded protein may play a role in the **control of craniofacial patterning and the differentiation and survival of inhibitory neurons in the forebrain**. The DLX1 gene has an important role to play in the growth and development of **prostate cancer**. DLX1 plays an important role in the **development of jaws, skeleton, and interneurons in the brain**. It is also expressed at higher levels in the prostate cancer cells.
- The DLX1 protein is found at elevated levels in prostate cancer patients, the reason why the DLX1 protein has been used as a **urine-based biomarker**.
- The team of researchers at the institute has now found that the DLX1 protein has a huge role in the growth and development of the tumour and the spread of the cancer to other organs in the body (metastasis). Using small molecules as inhibitors, the researchers have shown in mice a new therapeutic strategy to treat people with DLX1-positive prostate cancer.
- **Prostate cancer:** Prostate cancer is **cancer of the prostate**. The prostate is a gland in the **male reproductive system** that surrounds the urethra just below the bladder. Most prostate cancers are slow growing. Factors that increase the risk of prostate cancer include older age, family history and race.

Reference:

<https://www.britannica.com/place/Canary-Islands>



Reference: <https://www.thehindu.com/sci-tech/science/iit-kanpur-team-identifies-a-novel-target-to-treat-prostate-cancer/article37028059.ece>

Q.93) Ans: B

Exp:

- **Statement 1 is correct:** Minakari or Meenakari is the process of **painting and colouring the surfaces of metals** and ceramic tiles through enameling originating in Safavid Iran. It is practiced as an art form and commercially produced mainly in **Iran, Afghanistan, Pakistan and India** (the term Kundan is more widely used in India).
 - Minakari art usually involves **intricate designs** (mainly using geometric shapes and designs) and is applied as a decorative feature to serving dishes, containers, vases, frames, display ornaments and jewelry.
 - For ages, **gold** has been a preferred metal for meenakari art as it can hold the enamel in a better manner. Not only this, but the usage of gold in meenakari works also enhances the luster of the art while bringing out the colors of the enamels beautifully.
- **Statement 2 is incorrect:** Meenakari was introduced into India by the **Mughals**. **Varanasi, in Uttar Pradesh**, is one of the oldest cities in India and has a very rich culture and history. It was the **capital of the ancient Kashi region**. The present meenakar in Varanasi claimed that the position of the art of meenakari was prosperous until about a hundred years ago. The Meenakari of Varanasi is part of its **rich cultural heritage**. It was given a **GI Tag in 2015**.
- **Statement 3 is correct:** **Raja Man Singh of Mewar** is regarded as the patron of meenakari art in 16th century Jaipur. Due to his efforts, **Jaipur** became the hub of meenakari art with the influx of highly skilled craftsmen. In a few

years, the talent of the craftsmen made the place a specialized center of meenakari designing. The beauty of this art lies in the intensity of technical skills required for its creation which gives perfection to the ornaments.

Reference:

<https://industries.rajasthan.gov.in/content/industries/handmadeinrajasthandepartment/artandcraft/jewellery0/meenakari.html>

Q.94) Ans: C

Exp:

- **Statement 1 is correct:** A payments bank (Airtel Payments Bank, India Post Payments Bank, etc.) is like any other bank, but **operating on a smaller or restricted scale**. It is a bank operating on a smaller scale without involving any credit risk (can't advance loans or issue credit cards). Recently, **SEBI allowed payments banks to carry out the activities of investment bankers to provide easy access to investors to participate in public and rights issues by using various payment avenues, markets regulator. An investment banker is primarily concerned with **raising capital for corporations, governments, or other entities** like Goldman Sachs, Morgan Stanley.**
- **Statement 2 is incorrect:** Payment Bank can accept **demand deposits up to Rs 1 lakh** and offer other banking services. A payments bank account holder would be able to deposit and withdraw money through any ATM or other service providers. Credit risk is not involved with the Payments Bank. It can carry out most banking operations but cannot advance loans or issue credit cards.
- **Statement 3 is correct:** A committee headed by **Dr. Nachiket Mor** recommended the **setting up of 'Payments Bank'** to cater to the lower income groups and small businesses. Payments



bank comes under a **differentiated bank licence** since it cannot offer all the services that a commercial bank offers. In particular, a **payments bank cannot lend**.

- **Statement 4 is correct:** Payment banks can offer **Payments and remittance** services through various channels, transfer, purchase and other banking services. Distribution of non-risk sharing simple financial products like mutual fund units and insurance products, etc. They are only **allowed to invest the money received from customers' deposits into government securities**. They cannot accept NRI deposits.
 - **Benefits:** Expansion of rural banking, access to diversified services, **social and financial inclusion** are some of the benefits.
 - **Challenges:** Lack of customer awareness, lack of incentives for agents, lack of infrastructure, technological issues are some of the challenges.

Reference: <https://www.livemint.com/market/stock-market-news/sebi-allows-payments-banks-to-act-as-investment-bankers-11627998872338.html>
<https://m.economictimes.com/definition/payments-banks/amp>

Q.95) Ans: A

Exp:

- **Statement 1 is correct:** The UNECE Convention on the Protection and Use of Transboundary Watercourses and International Lakes (the **Water Convention**) promotes cooperation on transboundary surface and ground waters and strengthens their protection and sustainable management. The Convention on the Protection and Use of Transboundary Watercourses and International Lakes (Water Convention) was adopted in **Helsinki in 1992 and entered into force in 1996**.

- The Water Convention requires Parties to **prevent, control and reduce transboundary impact, use transboundary waters in a reasonable and equitable way and ensure their sustainable management**.
- **Statement 2 is incorrect:** The Convention is a **unique legally binding** instrument promoting the sustainable management of shared water resources, the implementation of the **Sustainable Development Goals**, the prevention of conflicts, and the promotion of peace and regional integration. As a framework agreement, the Convention does not **replace bilateral and multilateral agreements** for specific basins or aquifers; instead, it fosters their establishment and implementation, as well as further development.
- As of September 2021, it has been **ratified by 43 parties, which includes 42 states and the European Union**. It has been signed but not ratified by the United Kingdom. Parties bordering the same transboundary waters have to cooperate by entering into specific agreements and establishing joint bodies.

Reference: <https://unece.org/environment-policy/water/about-the-convention/introduction>

Q.96) Ans: C

Exp:

- **Statement 1 is incorrect:** Endosulfan is a **cream-to-brown-coloured solid** that may appear crystalline or in flakes. Endosulfan is a **pesticide** and It does not occur naturally in the environment. It has a distinct odour similar to turpentine. It is used to control insects on **food and non-food crops** and also as a **wood preservative**.
- It is sold as a mixture of two different forms of the same chemical (referred to as α - and β -endosulfan). Endosulfan can be released into the air, water, and soil in areas where it is



applied as a pesticide. The health effects of endosulfan depend on **how much endosulfan you are exposed** to and the length of that exposure.

- **Statement 2 is correct:** Geospatial Energy Map of India provides a holistic picture of all energy resources of the country. It is Developed by **NITI Aayog in collaboration with Indian Space Research Organisation (ISRO)**. This will enable visualisation of energy installations such as conventional power plants, oil and gas wells, petroleum refineries, coal fields and coal blocks, etc.
- Further, it will visualise **district-wise data** on renewable energy power plants and renewable energy resource potential. The Geospatial Energy Map of India will be **useful in planning and making investment decisions**. It will also aid in **disaster management** using available energy assets.
- **Statement 3 is correct:** Union Minister of AYUSH, Sarbananda Sonowal inaugurated Ayush Van, in a program held at the Deendayal Port Trust (DPT) – Rotary Forest in the city. Ayush Van is located at the **Deendayal Port Trust (DPT) in Kutch, Gujarat**. Ayush Van is a **dedicated forest for Ayurvedic plants**.
- The Ayush Van was set up in 30 acres of land allotted by **DPT in a green-belt area** where tree plantation is being done to improve greenery in urban areas and increase density of tree cover in the Kutch region. The Ayush Van will help to realise the huge potential and benefits of the medicinal plants in India.

Reference:

<https://www.thehindu.com/news/national/Endosulfan-%E2%80%93-The-spray-of-death/article10770127.ece>
<https://vedas.sac.gov.in/energymap/>

Q.97) Ans: A

Exp:

- **Statement 1 is correct:** The INTERPOL Formed in 1923 as the International Criminal Police Commission, and started calling itself Interpol in 1956. The International Criminal Police Organization (INTERPOL) is an intergovernmental organization that helps coordinate the police force of 194 member countries. It is Headquartered in Lyon, France.
- India joined the organisation in 1949, and is one of its **oldest members**. Each of the member countries hosts an **INTERPOL National Central Bureau (NCB)**. The **Central Bureau of Investigation (CBI)** is designated as the National Central Bureau of India.
- **Statement 2 is incorrect:** **INTERPOL General Assembly** is Interpol's supreme governing body, and comprises representatives from all its member countries. It meets **annually for a session lasting approximately four days, to vote on activities and policy**. Each country is represented by one or more delegates at the Assembly, who are typically chiefs of law enforcement agencies.
- The Assembly also elects the **members of the Interpol Executive Committee**, the governing body which "provides guidance and direction in between sessions of the Assembly".

Reference: <https://www.interpol.int/en/Who-we-are/What-is-INTERPOL>

Q.98) Ans: C

Exp:

- **Statement 1 is correct:** North Eastern Council is a **statutory body** and was established under the **North Eastern Council Act, 1971** as an apex level body for securing balanced and coordinated development and facilitating coordination with the States.
- **Statement 2 is correct:** The Council is an **advisory body** and may discuss any matter in

which the north-eastern states have a common interest and advise the Central Government as to the action to be taken on any such matter. North Eastern Council is the **nodal agency for the economic and social development of the North Eastern Region.**

- **Statement 3 is incorrect:** North Eastern Council includes the Governors and the Chief Ministers of the 8 states including Sikkim, Chairman and 3 members who are nominated by the country's President. The North Eastern Council consists of Eight states of **Arunachal Pradesh, Assam, Manipur, Meghalaya, Mizoram, Nagaland, Sikkim and Tripura.** The chief ministers and governors represent them.
- The **funding of the council mainly lies with the central government** with small portions contributed by the state governments as well.

Reference: <https://necouncil.gov.in/welcome-page>

Q.99) Ans: A

Exp:

Bengal Florican:

- The Bengal Florican (*Houbaropsis bengalensis*), also called **Bengal bustard**, is a bustard species native to the **Indian subcontinent, Cambodia, and Vietnam.** Fewer than 1,000



A Bengal florican

individuals were estimated to be alive as of 2017. It has two disjunct populations, one in the Indian subcontinent, another in Southeast Asia.

- They inhabit **lowland dry, or seasonally inundated, natural and semi-natural grasslands** often interspersed with scattered scrub or patchy open forest. The species is found in very small numbers in India and Cambodia. About a hundred of them are present in Nepal, and the species is extinct in Bangladesh.
- In India, the species habitat lies in the floodplains of the country's two largest rivers, the **Ganga and the Brahmaputra.** In the Ganga floodplains, Bengal floricans are found in the state of **Uttar Pradesh at places like the Dudhwa and Pilibhit Tiger Reserve.** In the Brahmaputra delta, the species is found in **Jaldapara National Park in West Bengal, Kaziranga and Manas National Parks in Assam and the D'Ering Wildlife Sanctuary in Arunachal Pradesh.**
- **Conservation status-**
 - IUCN Status: Critically Endangered
 - Indian Wildlife Protection Act, 1972: **Schedule-I.**
 - Convention on Migratory Species (CMS): **Appendix 1**
- **Threats-** The populations are in decline and threatened by **habitat loss through drainage, conversion to agricultural land and plantations, the invasion of alien species, and dam construction.**

Reference: <https://india.mongabay.com/2020/02/can-the-bengal-florican-make-its-case-at-the-convention-for-migratory-species-cop/>

Q.100) Ans: C

Exp:

- **Statement 1 is correct:** Citizenship signifies the relationship between individual and state. In India, **Articles 5-11 of the Constitution** deals with the concept of citizenship. The term citizenship entails the enjoyment of full membership of any State in which a citizen has



civil and political rights. Termination of citizenship is possible in three ways according to the **Citizenship Act, 1955**.

By renunciation- Any citizen of India of full age and capacity can make a declaration renouncing Indian citizenship. Upon the registration of that declaration, that person ceases to be a citizen of India. However, if such a declaration is made during a war in which India is engaged, its registration shall be withheld by the Central Government.

- **Statement 2 is correct: By deprivation**- Compulsory termination of Indian citizenship by the Central government, in the following conditions:
 - Obtained the citizenship by fraud.
 - Citizens have shown disloyalty to the Constitution of India.
 - Citizens have unlawfully traded or communicated during the times of war.
 - Within 5 years of naturalization, the said citizen is imprisoned for a term of two years.
 - **Citizen has been ordinarily resident out of India for a period of 7 years.**
- **Statement 3 is correct:** The minor children of the person who renounces citizenship stands to lose their Indian citizenship. However, when their children attain the age of **eighteen**, he may resume Indian citizenship. **By termination**- If a citizen of India voluntarily acquires the citizenship of another country, then he loses the citizenship of India. However, this provision does not apply **during times of war**. Citizenship is an **idea of exclusion** as it excludes non-citizens. Citizenship is listed in the **Union List** under the Constitution and thus is under the exclusive jurisdiction of Parliament.
- **Statement 4 is incorrect: New guidelines include**- Uploading of documents online and completion of the process of renunciation within **60 days**. The new form also has a **provision mandating the Indian citizen to indicate the reason for renouncing the**

citizenship. The uploaded documents have to be submitted to the District Magistrate in case of citizens living in India or an Indian Mission abroad. The applicant will be interviewed before issuing the final certificate. Also, the guidelines specify that as per the Citizenship act, 1955- "every minor child of that person shall thereupon cease to be a citizen of India".

Reference: M Laxmikant

<https://www.thehindu.com/news/national/process-of-renunciation-of-indian-citizenship-simplified/article36777790.ece>